Cosmetics

The science of youth: mapping K-beauty's next phase of growth

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Company	Rating	TP (won)
APR	BUY (M)	435,000 (Down)
Amorepacific	BUY (M)	178,000 (M)
Cosmax	BUY (M)	363,000 (M)
Pumtech Korea	BUY (M)	80,000 (M)

2027: earnings growth meets valuation recovery

Korea's cosmetics exports reached a record $11.14bn (+30.8% YoY) over 1Q-3Q26, but cosmetics stocks underperformed the KOSPI. We expect earnings growth to continue in 2027, with combined OP at nine firms projected to reach a new high of W3,637.6bn (+28.0% YoY). Despite this, the sector trades at a 12-month-forward P/E of 12.9x, a 42.2% discount to its average since 2013 of 22.2x. Earnings have already delivered, but share prices have yet to normalize.

Expansion on three fronts: markets, products, and firms

1) Markets: Growth expands beyond the US to Europe and Latin America. Europe's share of exports (23.2%) surpassed that of the US (21.0%) for the first time, while exports to Latin America surged 111.1%, making it the fastest-growing market.
2) Products: Expanding beyond the face to the scalp and body. Dermocosmetics are growing twice as fast as the overall beauty market, while the "skinification" of haircare is driving the development of increasingly sophisticated, high-performance products comparable to those used in skincare.
3) Companies: Cosmetics firms are crossing boundaries into aesthetic medical devices (energy-based devices (EBD) and skin boosters). EBD procedures increased by 23.3% and medical device OPMs reach 40-51%. As more companies expand beyond their traditional industry boundaries, Korean ODMs (K-ODMs) and packaging makers that manufacture for them are also positioned to benefit.

Top picks: APR and Amorepacific; second top picks: Cosmax and Pumtech Korea

We present an OVERWEIGHT rating on the sector. For our top picks, we present APR and Amorepacific. For our second top picks, we present Cosmax and Pumtech Korea.

APR is expanding its market reach from the US to Europe and Latin America, while broadening the scope of its business into aesthetic medical devices.

Amorepacific's growth is led by dermocosmetics and hair care, alongside an expanding distribution network in Europe.

Cosmax's is seeing upward revisions to its growth outlook driven by a robust order intake in Korea (over 45%) and the US (over 70%). Orders from global clients are also likely to expand thanks to its joint development partnership with L'Oreal.

Pumtech Korea is the leading cosmetics packaging manufacturer in Korea, with a market share of 24.5%. Demand for packaging grows in tandem with rising ODM production. Capacity expansion effects from Plants 6 and 7 will be reflected in earnings from 4Q26.

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Cosmetics

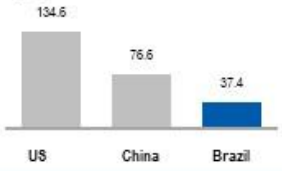
Investment highlights 1: Market expansion From the US to Europe and Latin America

WHY 1

Why is K-beauty expanding into Latin America?

i) Brazil is the world's third-largest market

Brazil $37.4bn, ranking third globally



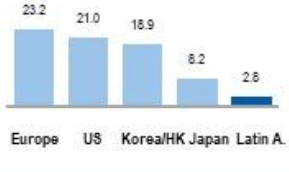
ii) Latin America leads export growth

Latin America +111.1%, fastest among regions



iii) Its share remains small

Only 2.8% of exports, substantial room for growth



∴ Latin America's beauty market is growing 11.2% annually (vs 4.3% in North America). The Amazon and TikTok formula proven in the US also works here.

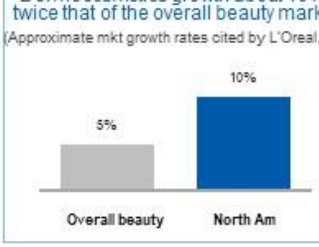
Investment highlights 2: Product category expansion From skincare to dermacosmetics, bodycare, and haircare

WHY 2

Why are consumers worldwide embracing dermo-cosmetics?

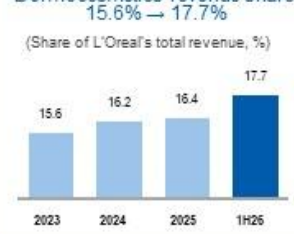
i) The market is growing twice as fast

Dermocosmetics growth about 10%, twice that of the overall beauty market



ii) Its revenue contribution is rising

Dermocosmetics' revenue share 15.6% → 17.7%



iii) It delivers highest margins

Dermatological Beauty leads with OPM of 28.4%



∴ Proven efficacy drives purchases, while use before and after procedures and in at-home care encourages repeat purchases → low price resistance and high margin

"The dermocosmetics market is growing at close to 10%. Consumers who undergo aesthetic procedures also spend more on dermocosmetic skincare" — L'Oréal CEO, 3Q26 earnings call

Dermocosmetics product price spectrum: from mass market to luxury



WHY 3

Why is K-beauty expanding into haircare and bodycare?

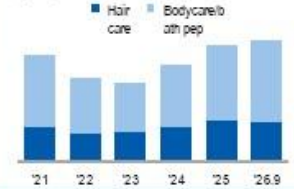
i) Exports are growing faster

Haircare/bodycare +39.5% > skincare



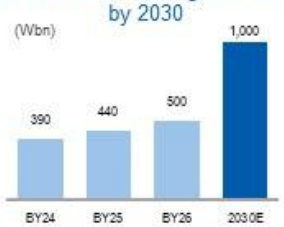
ii) Export value has also increased

9M26 exports > full-year 2025 total



iii) Companies are expanding into the category

Haircare revenue target of W1tn by 2030



∴ The scalp is skin, too: skincare ingredients are moving into scalp care, and 1kg shampoo bottles are giving way to high-performance ampoules → A W137tn market

Note: Latin American export growth and share figures are based on Korea Customs Service data for HS 3304. Other trade figures are based on KITA data for HS 3303–3307.
Source: L'Oréal, Korea International Trade Association, Korea Customs Service, Euromonitor, Amorepacific Investor Day (Sep 2026), Yuanta Securities

Investment highlights 3: Corporate expansion

From cosmetics to aesthetic medical devices (EBDs and skin boosters)

WHY 4

Why is K-beauty expanding into medical devices?

i) Demand is shifting

Toxin/filler ↓, EBD +23.3%

(Procedure volume in 2025, % YoY, ISAPS)



2) Profitability is attractive

Medical device OPM 40-51%

(%, 2025 OPM)



iii) New businesses boost earnings

W100bn in revenue could lift OP by 3.8%

(Incremental OP by new business revenue, Wbn)



∴ Long-term care for longevity combines cosmetics, procedures, and devices → Companies offering all three stand to benefit

Korean skin boosters expand globally

Before-and-after treatment images from clinics in Spain and Japan



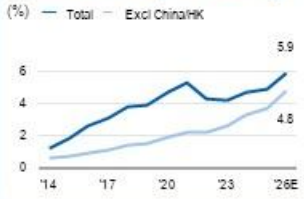
Roles of different skin booster types

PN	Derived from salmon DNA; regenerates damaged skin—"skin repair" Rejuran → APR's PN products: Export approval secured; supplying Japan, Latin America, and the Middle East
HA	Retains moisture to improve hydration and skin texture—"a sponge" HILOWAVE, SKINVIVE
ECM·hADM	Uses acellular dermal components to reinforce structure and volume Re2O, CellREDM
Bio-stimulators	Stimulate collagen production using PLLA, CaHA, and other materials Sculptra, Juvelook

How far has K-beauty's market share grown?

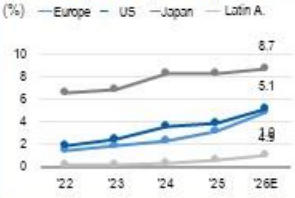
K-beauty's global market share

2026E 5.9%, record-high



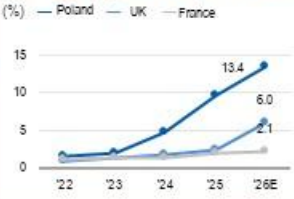
Market share by country and region

US up 2.8x, Europe 3.6x



Market share share in 3 major European countries

Poland up 13.4%, UK 2.5x



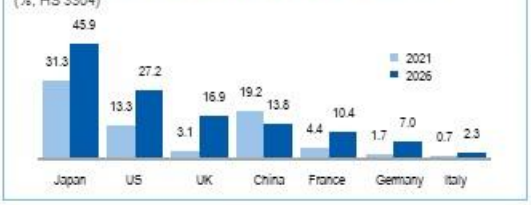
"The K-beauty boom is real. Korean manufacturers supply not only Korean brands but also our brands. Korean brands are innovative and reasonably priced, and are growing at around 30% on average. They still account for only 3-4% of the global skincare market"

- L'Oréal CEO, 3Q26 earnings call

K-beauty's share of imports

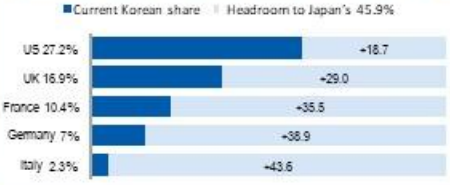
Korean products' share of cosmetics imports in major markets

US 13.3→27.2%, UK 3.1→16.9%



What if K-beauty achieved the same import share as in Japan?

Room for +18.7%p rise in US, +35.5%p in France



Top picks: targeting medical devices with exposure to both EBDs and skin boosters

	APR (top pick) In-house development and regulatory approvals| 2027E OP W1.2tn (+55.4%)	Amorepacific (top pick) Entry through group investments | OPM 7.9% (2025) → 10.8% (2027E)
Energy-based device	EBD · Domestic regulatory approvals secured · To be launched between end-2026 and early-2027	Amorepacific → VIOL · RF microneedling company behind Sylfirm X · Invested W80bn in an acquisition fund (49.5% stake in the fund)
Injectable skin boosters	PN skin boosters · Class II certification and export approval secured; exports began in 2Q26 · Chile launch in November following trial shipments in 3Q · Domestic launch expected in early 2028	Amorepacific Holdings → HIGHER Corp · Developer of the injectable skin booster HILO WAVE · Strategic investment agreement signed on Jul 27, 2026 · Neopharm secured exclusive domestic distribution rights for HILO WAVE

Note: ISAPS does not report skin boosters as a separate category. Market shares are estimated using export values multiplied by 2.5. The assumed new-business OPM of 46% is the average for three medical device companies; source: Company data, ISAPS, ITC, Yuanta Securities

I. 2026 review: earnings improve, shares lag

1. Cosmetics left behind amid semiconductor-led rally

Underperforming the KOSPI by 35.5%p YTD

The Korean cosmetics sector has underperformed the KOSPI in 2026. Based on the WI26 sector classification, the cosmetics, apparel, and toys sector had gained 0.5% YTD as of Oct 30, 2026, underperforming the KOSPI (+36.0%) by 35.5%p. IT hardware (+102.5%) and semiconductors (+95.9%) led the market rally over the same period, attracting investment flows into related sectors.

Underperforms KOSPI by 7.8%p over the past three months

This pattern has persisted over the past three months. While the KOSPI rose 2.5%, the cosmetics sector fell 5.3%, underperforming the index by 7.8%p and ranking 15th among 26 sectors. Cosmetics remained out of favor as IT hardware (+31.1%) and semiconductors (+9.1%) led the rebound. According to the Ministry of Trade, Industry and Energy, cosmetics exports reached a record $11.14bn (+30.8% YoY) in Jan-Sep 2026. Despite the sluggish share price performance, we believe earnings fundamentals remain solid.

2. Valuation compression in 2H26: surging ocean freight costs and stronger won

The cosmetics sector's 12-month-forward P/E fell 42.7% from its annual peak of 22.4x on Apr 24 to 12.9x on Oct 30. Strong exports and earnings expectations supported valuations in 1H26, but mounting concerns over cost pressures drove multiple compression in 2H26.

Ocean freight costs surge: US West Coast routes rise 87.9% from April

According to the Korea Customs Service, ocean export shipping costs in Sep 2026 were up 87.9% from April for the US West Coast, 82.9% for the US East Coast, and 39.3% for Europe. In contrast, freight costs to Japan fell 17.8% over the same period. The monthly average Shanghai Containerized Freight Index (SCFI) also climbed 186.3%, from 1,284pts in February to 3,675pts in October. The largest monthly increases occurred in May (+17.9% MoM) and June (+35.9% MoM). With the US and Europe representing the largest cosmetics export markets, accounting for 21.0% and 23.2% of exports, respectively, rising freight costs weighed on margins at brand companies and overseas distributors that export products directly.

Won appreciation: USD/KRW down 14% from July peak

Based on the Seoul Money Brokerage Services reference exchange rate, the USD/KRW fell 14.1%, from W1,554.4 on Jul 2 to W1,335.3 on Oct 30. Given the sector's high export exposure, won appreciation raised concerns over lower revenue when converted into won. Historically, however, the sector has traded at higher P/E multiples during periods of won strength. Since 2013, its P/E has averaged 24.9x when the USD/KRW was below W1,200, versus just 16.8x when it was at or above W1,300. The simultaneous decline in the USD/KRW and the sector's P/E in 2H26 is unusual, suggesting that concerns over freight and other costs had a greater impact than exchange rates.

3. Wider premium to KOSPI reflects decline in index's P/E

192% premium driven by a lower KOSPI P/E denominator

The cosmetics sector's 12-month-forward P/E premium to the KOSPI widened from 66.6% at the start of the year to 192.3% on Oct 30, or 1.6x its average premium of 120% since 2011. At face value, this suggests that the sector is expensive relative to the market. However, the wider premium reflects a decline in the denominator (the KOSPI's P/E). Upward earnings revisions, primarily for semiconductors, drove the KOSPI's 12-month-forward P/E down 57.0%, from 10.2x at the start of the year to 4.4x on Oct 30. Over the same period, the cosmetics sector's P/E also fell 25%, from 17x to 12.9x.

Sector P/E of 12.9x, 42.2% below average since 2013

The sector's current P/E of 12.9x is 42% below its average of 22.2x since 2013. The sector has traded below its current P/E on just 0.7% of trading days over that period. Meanwhile, the aggregate 2027E operating profit consensus for nine companies has risen 19.7% since Sep 2025. Earnings expectations have increased even as multiples have compressed. Although the cosmetics sector appears expensive relative to the KOSPI, we believe it is trading near historical valuation lows.

4. Divergence within sector: ODMs and packaging outperform brands and overseas distributors

YTD returns: ODMs +50.0%, overseas distributors -26.0%

Share performance diverged sharply within the sector. As of Oct 30, 2026, YTD returns stood at +50.0% for ODMs, +16.9% for packaging, +3.8% for brands, and -26.0% for overseas distributors. By company, market capitalization increased the most at Kolmar Korea (+72.0%), followed by Cosmax (+38.8%), Cosmecca Korea (+35.1%), Pumtech Korea (+16.9%), APR (+12.0%), and Amorepacific (+1.7%). Market capitalization declined at d'Alba Global (-4.5%), LG H&H (-5.9%), and Silicon2 (-26.0%). Since the Aug 28 peak, overseas distributors have fallen 47.7%, brands 31.7%, and ODMs 27.3%, while packaging has gained 4.1%.

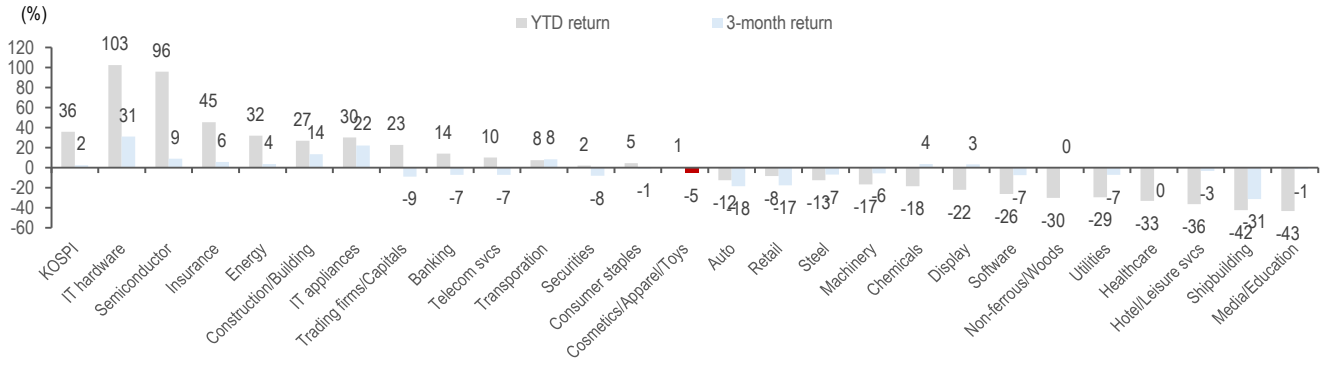
P/E gap between brands and ODMs narrows from 10.1x to 3.1x

Valuations followed the same pattern. The monthly average 12-month-forward P/E of brands declined from 24.9x in February to 16.5x in October, while that of overseas distributors fell from 12.7x in January to 7.5x in October, its lowest level since 2024. In contrast, the P/E of ODMs rose from 10.8x in June to 13.4x in October, while that of packaging firms increased from 9.6x to 14.1x over the same period. The P/E gap between brands and ODMs narrowed from 10.1x in February to 3.1x in October.

Cost pressures and earnings visibility explain the divergence

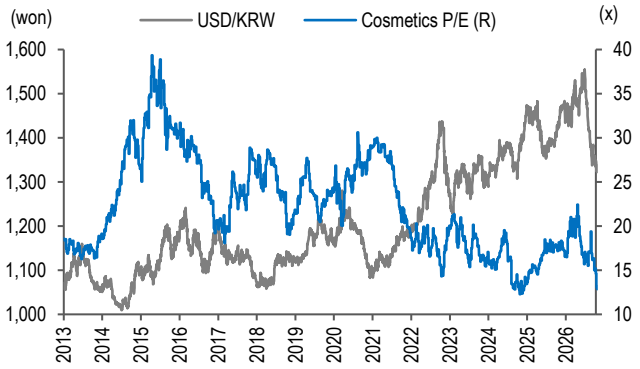
We attribute this divergence to two factors. First, brands and overseas distributors that sell products directly overseas bear the burden of higher ocean freight costs and adverse currency movements. The Korean operations of ODMs and packaging companies are less exposed, as a large share of their sales comes from domestic customers. Second, products for the peak 4Q season are manufactured in 2Q and 3Q, meaning earnings at ODMs and packaging companies become visible earlier than at brands. We expect Cosmax's 3Q26 OP to beat market expectations by 23% and Pumtech Korea's 3Q26 OP to reach W23.1bn (+51% YoY).

Share return in 2026 YTD by WI26 sector



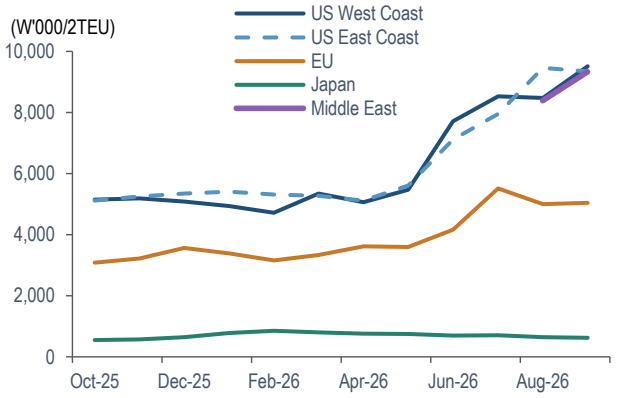
Source: FnGuide Quantiwise, Yuanta Securities

USD/KRW rate and cosmetics sector P/E



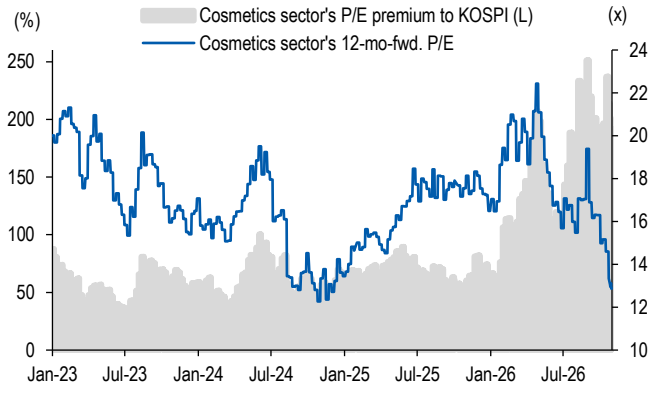
Source: FnGuide Quantiwise, Yuanta Securities

Ocean export shipping costs



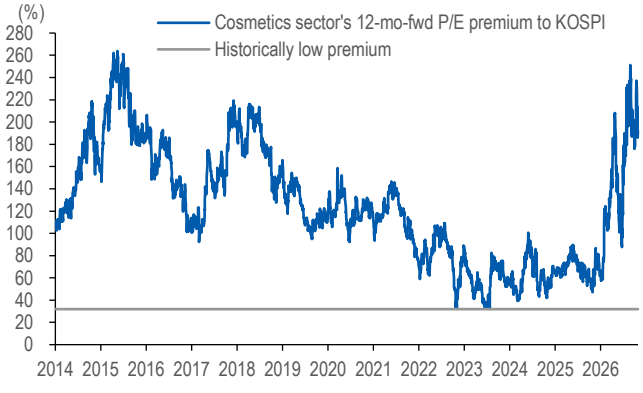
Source: Korea Customs Service, Yuanta Securities

Cosmetics sector valuation premium to the KOSPI



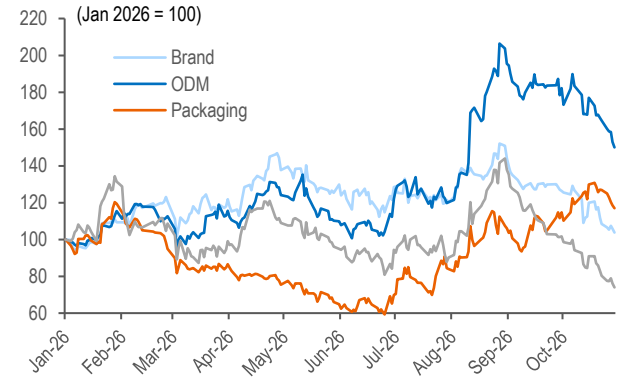
Source: FnGuide Quantiwise, Yuanta Securities

Cosmetics sector valuation premium to the KOSPI



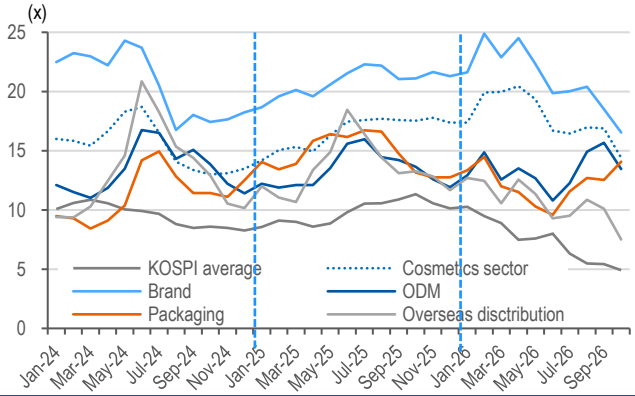
Source: FnGuide Quantiwise, Yuanta Securities

Share returns in 2026 YTD by cosmetics subsector



Source: FnGuide Quantiwise, Yuanta Securities

Monthly average 12-month-forward P/E by cosmetics subsector



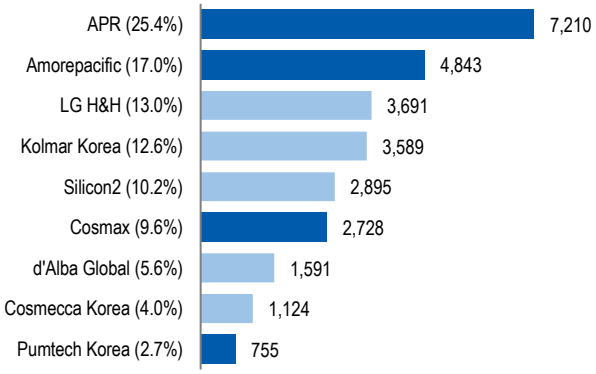
Source: FnGuide Quantiwise, Yuanta Securities

5. 2027 outlook: expansion across markets, products, firms

2027 combined OP at nine companies to reach W3.64tn (+28.0% YoY)

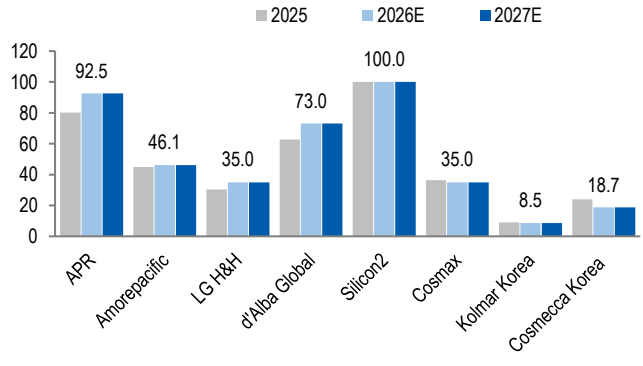
We expect combined OP of the nine cosmetics companies in our universe to rise from W1.75tn in 2025 to W2.8tn in 2026 (+62.0% YoY) and W3,637.6bn in 2027 (+28.0% YoY), reaching 2.1x the 2025 level in two years. APR contributed W355.5bn, or 32.7%, of the W1,088.3bn increase in 2026, and is likely to contribute W419.0bn, or 53%, of the W795.0bn increase in 2027. Three developments will likely drive earnings growth in 2027. First, market expansion. Export destinations are broadening beyond the US to Europe, Latin America, and the Middle East. Second, product expansion. Exports are diversifying beyond skincare into body care, hair care, and medical devices, including skin boosters and energy-based devices (EBDs). Third, a broader corporate presence. Pharmaceutical, biotech, and medical device companies are also entering export markets. As more companies participate, Korean ODMs and packaging companies stand to increasingly benefit.

2026E OP breakdown for nine companies (Wbn)



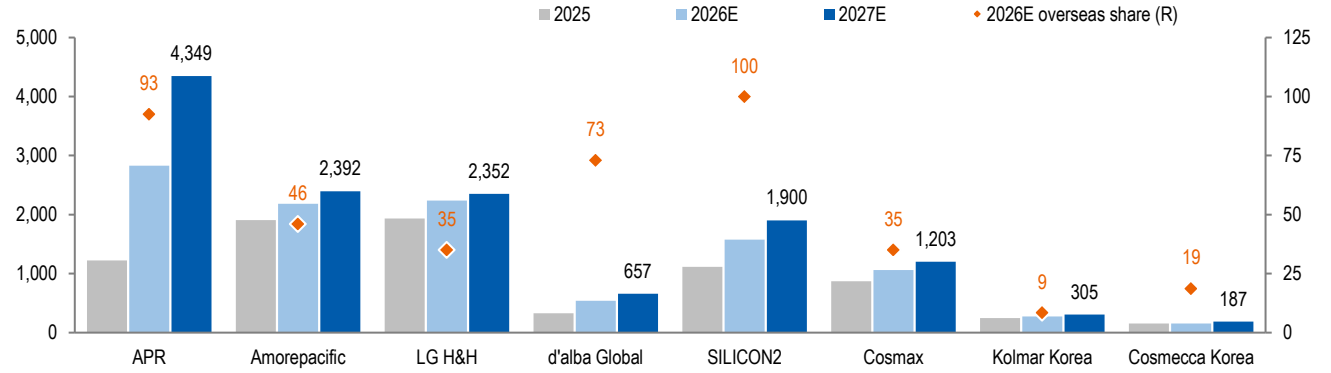
Note: figures on right side of the bars indicate each firm's share of combined OP (W2,842.6bn). LG H&H figures are based on consensus estimates. Kolmar Korea figures are on a consolidated basis, including HK inno.N.
Source: company data, FnGuide Quantiwise, Yuanta Securities

Overseas share of total sales for eight companies (2025–2027E, %)



Note: 2027E assumes overseas sales shares remain unchanged from 2026E. LG H&H estimates apply 2Q26 overseas sales share of 35% to consensus sales forecasts.
Source: company data, Yuanta Securities

Overseas revenue of 8 firms (2025-2027E, Wbn, %)



Note: 2027E assumes the 2026E overseas portion is maintained; LG H&H estimated by applying its 2Q26 overseas share (35%) to consensus revenue
Source: company data, Yuanta Securities

Reviewing 2027 rerating catalysts

Share price gains in 2026 were concentrated on ODM and packaging companies, where orders are confirmed first. In 2027, market interest will likely expand to brand companies with confirmed earnings. We estimate APR's 4Q26 OP at W224.2bn (+72.1% YoY, +39.6% QoQ), a quarterly record high. The company's EBD aesthetic medical device is slated to launch in Korea between late 2026 and early 2027. We present an OVERWEIGHT rating on the sector, with APR and Amorepacific as our top picks, and Cosmax and Pumtech Korea as our second top-picks.

2027 rerating catalysts by cosmetics company

Time	Company	Details
4Q26	APR	OP to hit new high of W224.2bn (+72.1% YoY)
Late 2026-early 2027	APR	Domestic launch of EBD aesthetic medical device
1H27	Amorepacific	Aestura expansion into 9 additional countries; launch of Illiyoon facial line
2H27	Amorepacific	Illiyoon entry into largest US offline retail channel
2027	Pumtech Korea	Capacity expansion from operation of Plant 6

Source: company data, Yuanta Securities

II. Market expansion: from the US to Europe, Latin America and the Middle East

1. Exports shifting from China to US and Europe

Portion for China and Hong Kong drops from 49.9% to 18.9, Europe surpasses the US (21%) at 23.2%

China and Hong Kong's share of cosmetics exports fell by 31%p from 49.9% in 2022 to 18.9% in Jan-Sep 2026. Over the same period, the US's share rose from 10.7% to 21%, while Europe's share (including Poland) increased from 9.3% to 23.2%, with Europe surpassing the US for the first time on a 1Q-3Q cumulative basis. According to our estimates, K-beauty's share of the global cosmetics market fell from 5.3% in 2021 to 4.3% in 2022 due to lower exports to China. However, excluding China and Hong Kong, market share rose steadily from 0.6% in 2024 to 4.8% in 2026. Overall global market share will likely surpass the 2021 peak this year, reaching 5.9%

2. Continued export growth in 2H26

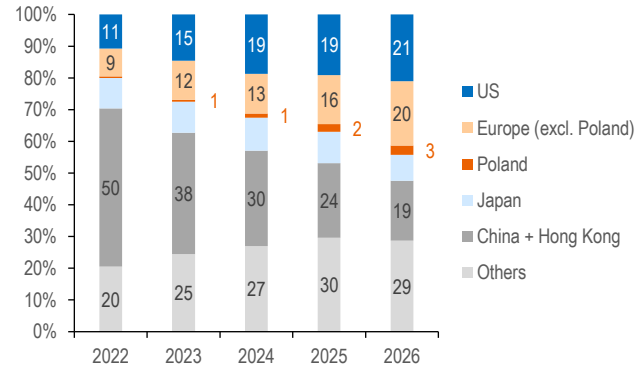
Record exports in September, +31-51% YoY in July-September

According to the Ministry of Food and Drug Safety, 3Q26 cosmetics exports grew 7.5% QoQ ($3.88bn in 2Q26) to $4.17bn. Cumulative exports in Jan-Sep came to $11.14bn (+30.8% YoY; Ministry of Trade, Industry, and Resources), reaching 98% of 2025's annual export value ($11.42bn) in just nine months. On a monthly basis (based on the Korea Customs Service data), September exports hit an all-time monthly record of $1.43bn (+31.1% YoY, +14.9% MoM), while YoY growth rates in July (+37.3%), August (+50.8%), and September (+31.1%) all outpaced those of the same months in 2025 (+17.0%, +4.6%, +24.6%). Given that growth did not slow even in 2H26 against a higher base, we believe concerns over an export peak-out are overblown.

Growth rates and import share by country

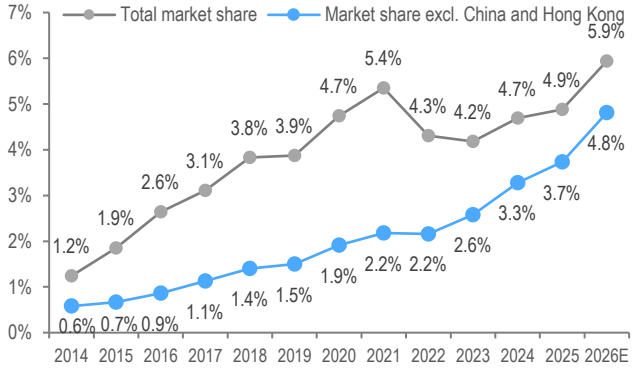
Export growth in Jan-Sep 2026 came to +294.0% for the Netherlands, +182.6% for the UK, +73.6% for Europe as a whole, +59.8% for Poland, and +40.7% for the US, with Europe and the US driving growth. Meanwhile, growth to Japan (+8.1%), China (+0.3%), and France (-0.7%) stagnated. Statistics from importing countries also confirm the rising stature of Korean cosmetics. According to the ITC Trade Map (HS 3304), the share of Korean products in total cosmetics imports rose between 2021 to Jan-Aug 2026 across key markets: Japan 31.3% → 45.9%, US 13.3% → 27.2%, UK 3.1% → 16.9%, France 4.4% → 10.4%, and Germany 1.7% → 7.0%.

Changes in regional breakdown of cosmetics exports



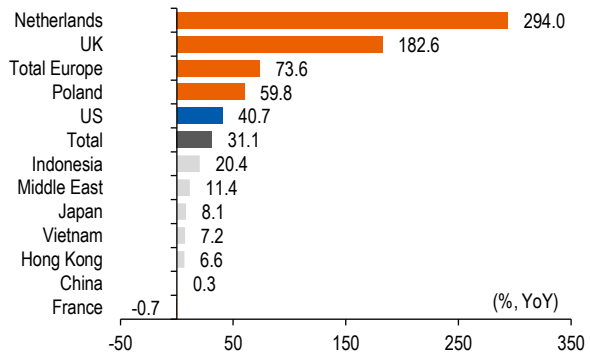
Note: 1) cosmetics export value is the sum of HS 3303·3304·3305·3307;
2) 2026 based on Jan-Sep cumulative data
Source: KITA, Yuanta Securities

Estimated market share of K-beauty



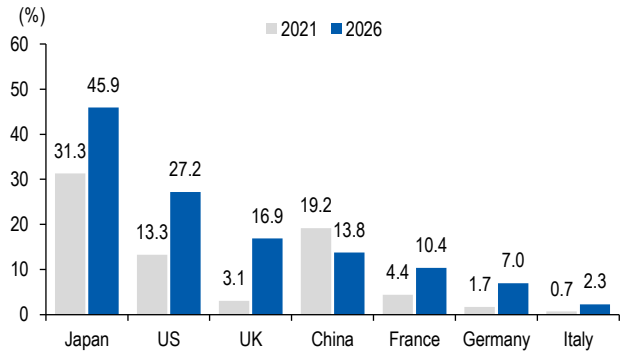
Note: 1) estimated by applying 2.5x to Korean cosmetics exports (HS 3303·3304·3305·3307);
2) Excludes sum of China and Hong Kong, 2026E annualized Jan-Sep exports
Source: Euromonitor International, KITA, KHIDI, Yuanta Securities

Cosmetics export growth by country (9M26)



Note: sum of HS 3303 · 3304 · 3305 · 3307; Europe based on KITA regional aggregation; the Netherlands is an EU logistics hub and includes intra-EU distribution volume
Source: KITA. Yuanta Securities

Korean share of major countries' cosmetics imports: 2021 vs 2026



Note: based on HS 3304; 2026 is Jan-Aug (Germany, Italy Jan-Jul) data
Source: ITC Trade Map, Yuanta Securities

3. K-beauty share by region: still early days in US, Europe

US 5.1%, Europe 4.9%, and Japan 8.7%

Our estimated 2026 K-beauty market share by country stands at 8.7% in Japan, 5.1% in the US, 4.9% in Europe, 2.1% in the Middle East, and 1.0% in Latin America. Compared to 2022, market share has risen 2.8x in the US (from 1.8%) and 3.6x in Europe (from 1.3%). Within Europe, market share is highest in Poland at 13.4%, while in the UK it jumped 2.5x from 2.4% in 2025 to 6% in 2026. On the other hand, K-beauty market share in France, the largest cosmetics producer, remains at just 2.1%. In Japan, where Korean products account for 45.9% of cosmetics imports, raising ASP per customer seems more important than expanding market share. Export growth to Japan slowed from 28.1% in 2024 to 5.1% in 2025 and 8.1% in Jan-Sep 2026, but Aestura doubled its average spend per customer while expanding its store count across Japanese variety shops by over 40%.

Room remaining to reach Japan's level: US +18.7%p and France +35.5%p

Based on Korea's share of Japan's cosmetics imports (45.9%), remaining headroom to reach Japan's level is +18.7%p for the US, +29.0%p for the UK, +35.5%p for France, +38.9%p for Germany, and +43.6%p for Italy. Given that Korea's import share in Japan rose by 14.6%p over five years from 31.3% in 2021 to 45.9% in 2026, we except market share gains in the US and Europe to continue beyond 2027.

4. K-beauty momentum spreading to Latin America

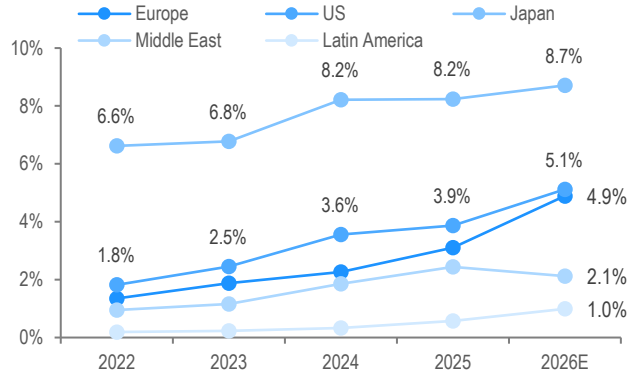
Exports to Latin America surge 111.1% YoY in Jan-Sep 2026, 8.5x 2022 level

Latin America is the fastest-growing export region. Based on Korea Customs Service data (HS 3304), 1Q-3Q26 exports to Latin America reached $250mn (+111.1% YoY), posting the highest growth and representing a 8.5x increase over the same period in 2022. Annual export value also increased by 4.4x over three years from $38.8mn in 2022 to $170mn in 2025. Although its share of total exports is still just 2.8%, the Latin American cosmetics market is expected to post a CAGR of 11.2% from 2025 to 2031 (based on Euromonitor), 2.6x faster than North America (+4.3%). As the online entry methods proven in the US spread to Latin America, we expect the region to emerge as a new growth engine next year.

Middle East at $440mn in 2025, up 4x compared to 2022

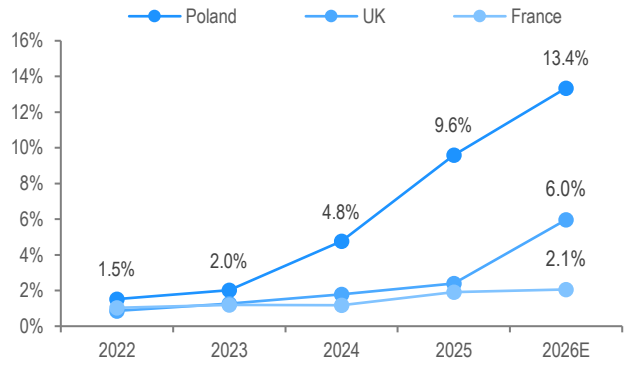
Exports to the Middle East increased 4.1x over three years from $110mn in 2022 to $440mn in 2025. Over 1Q-3Q26, exports came to $330mn (+10% YoY based on Korea Customs Service HS 3304, +11.4% based on KITA HS 3303-3307), showing slower growth, but the region's share of total exports is higher than Latin America at 3.6%. Although K-beauty's market share in the Middle East grew from 0.9% in 2022 to 2.1% in 2026, it remains at less than half the level of the US and Europe, implying room for further growth.

Estimated K-beauty market share by country/region



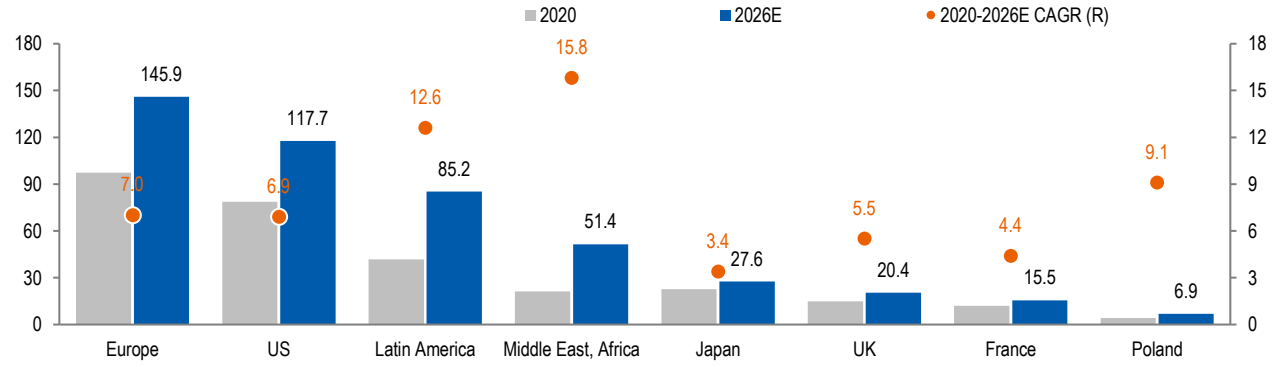
Note: 1) exports based on HS3304; 2026E annualized Jan-Sep data;
2) market share estimated by applying 2.5x to export value;
3) Middle East applies the Middle East and Africa market size
Source: Euromonitor International, KITA, KHIDI, Yuanta Securities

Estimated K-beauty market share in 3 major European countries



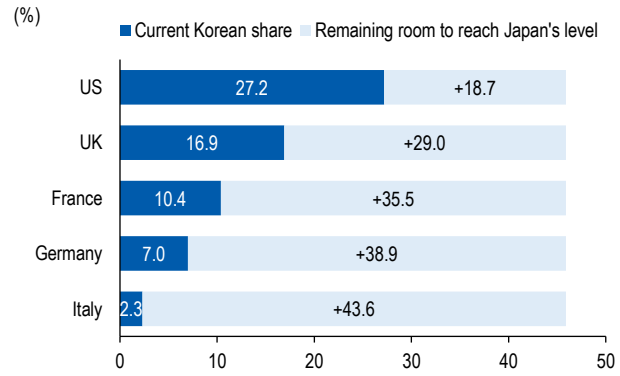
Note: 1) exports based on HS3304; 2026E annualized Jan-Sep data;
2) market share estimated by applying a 2.5x to export value;
Source: Euromonitor International, KITA, KHIDI, Yuanta Securities

Cosmetics market size and growth by country/region (Wbn, %)



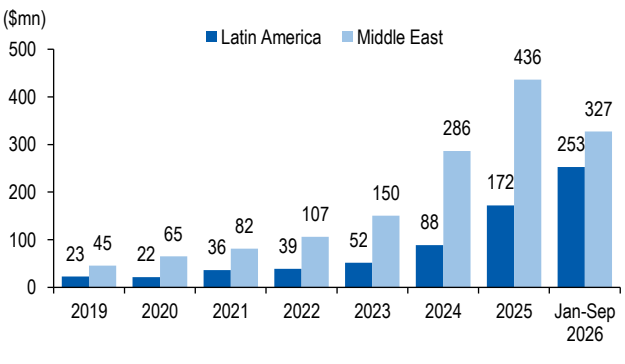
Note: Europe, Latin America, Middle East, and Africa on a regional basis; dots indicate 2020-2026E CAGR (R)
Source: Euromonitor International, Yuanta Securities

Remaining market share to reach Japan's level



Note: Korean share of HS 3304 imports; Jan-Aug 2026 (Germany, Italy Jan-Jul); number in light-colored bars indicate the remaining gap (%p) to reach Japan's level
Source: ITC Trade Map, Yuanta Securities

Cosmetics exports to Latin America and Middle East



Note: based on HS 3304 (skincare/make-up products); 2026 is for Jan-Sep
Source: Korea Customs Service, Yuanta Securities

Top 20 cosmetics market ($bn, %)

Rank	Country	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	2031E	CAGR (2020-2024)	CAGR (2025-2031)
1	US	78.7	88.2	96.1	104.2	108.7	112.9	117.7	122.6	127.9	133.5	139.2	145.2	8.4	4.3
2	China	65.0	71.2	66.6	68.7	67.0	69.0	71.0	73.0	75.0	76.8	78.9	81.0	0.8	2.7
3	Brazil	19.8	19.9	22.4	25.4	28.2	31.1	34.1	37.2	40.6	44.3	48.3	52.7	9.2	9.2
4	Japan	22.6	22.4	23.5	24.6	25.6	26.7	27.6	28.5	29.3	30.1	31.1	32.0	3.2	3.1
5	Germany	15.9	15.9	17.4	19.1	20.3	21.3	22.1	23.0	23.7	24.5	25.4	26.2	6.3	3.5
6	UK	14.8	15.5	16.6	17.8	18.7	19.5	20.4	21.5	22.7	24.0	25.3	26.7	5.9	5.4
7	India	10.1	11.2	12.5	13.9	15.3	16.8	18.4	20.0	21.8	23.6	25.7	28.0	11.0	8.9
8	Mexico	9.2	10.3	11.6	13.2	14.6	16.2	18.0	20.0	22.1	24.5	27.2	30.1	12.1	10.8
9	France	12.0	12.3	13.1	13.9	14.4	15.0	15.5	16.1	16.7	17.3	18.0	18.7	4.7	3.8
10	Italy	9.0	9.8	10.6	11.7	12.5	13.3	13.9	14.5	15.1	15.7	16.4	17.1	8.8	4.4
11	**Korea**	**9.9**	**10.4**	**11.2**	**11.7**	**12.2**	**12.7**	**13.2**	**13.7**	**14.1**	**14.5**	**15.0**	**15.5**	**5.2**	**3.4**
12	Spain	7.2	7.9	9.0	9.9	10.6	11.2	11.8	12.3	12.8	13.3	13.9	14.5	10.1	4.4
13	Canada	6.7	7.1	8.0	9.1	9.3	9.5	9.8	10.1	10.6	11.1	11.5	12.0	8.4	4.0
14	Indonesia	5.4	5.7	6.4	7.1	8.0	8.9	9.9	10.9	12.0	13.1	14.4	15.9	10.4	10.2
15	Australia	5.8	6.1	6.5	7.1	7.5	7.9	8.3	8.7	9.1	9.6	10.0	10.5	6.7	5.0
16	Russia	6.2	6.4	6.3	6.8	7.3	7.6	7.9	8.3	8.7	9.1	9.5	9.9	4.1	4.5
17	Saudi Arabia	4.7	5.1	5.8	6.5	7.1	7.8	8.6	9.5	10.5	11.7	13.0	14.4	10.8	10.8
18	Iran	1.1	2.1	3.3	4.9	7.1	9.3	12.0	15.3	19.7	25.4	32.6	41.9	58.0	28.5
19	Thailand	4.7	4.7	5.3	6.0	6.6	7.2	7.9	8.5	9.2	9.8	10.5	11.3	9.0	7.8
20	Poland	4.1	4.4	5.0	5.5	5.9	6.4	6.9	7.4	7.9	8.4	9.0	9.6	9.7	6.8
	Others	75.2	80.6	89.1	99.5	113.1	126.8	140.4	154.3	169.2	185.2	205.3	227.4	10.8	10.2
	Total	**388.1**	**417.3**	**446.5**	**486.7**	**520.0**	**557.1**	**595.4**	**635.4**	**678.8**	**725.5**	**780.3**	**840.7**	**7.6**	**7.1**

Note: ranking as of 2024; 2025 and beyond based on estimates
Source: Euromonitor International (as of Feb 23, 2026), KHIDI, Yuanta Securities

III. Product expansion: from skincare to body care, haircare, and medical devices

1. Aesthetic procedures and cosmetics are complementary: growing demand for youthfulness

What consumers seek from cosmetics is youthfulness, and the means to achieve this have expanded to include aesthetic procedures. The number of foreign visitors traveling to Korea to undergo aesthetic procedures has increased 15-fold, from 85,000 in 2019 to 1.3mn in 2025 (Amorepacific's Investor Day presentation). The mix of procedures has also changed. In 2025, hyaluronic acid filler procedures declined by 25.2%, while device-based lifting and tightening treatments increased by 23.3% (ISAPS). Aesthetic procedures do not replace cosmetics. On L'Oréal's 3Q earnings call, its CEO noted that consumers who undergo aesthetic procedures also spend more on skincare. Demand for youthfulness is expanding beyond skincare into body care, scalp care, and aesthetic medical devices.

The figures also support this trend. According to a 2023 Boston Consulting Group survey, skincare ranked second among additional treatments received by botulinum toxin users, at 18%, behind fillers (48%), but ahead of skin rejuvenation (12%) and energy-based device (EBD) treatments (9%). This indicates that a substantial proportion of aesthetic treatment users also seek skincare treatments, showing that aesthetic procedures and skincare are complementary rather than substitutes.

From slowing aging to reversing it: paying to turn back time

Demand for youthfulness is shifting from slowing the aging process to actually reversing it. The recent appearance of actress Lindsay Lohan's gives the impression of having turned back time, rather than having simply slowed its passage. A "pay-for-youth" market has emerged, offering consumers the prospect of paying to turn back the clock.

Aesthetic procedures are evolving in the same direction. Renuva, developed by US-based MTF Biologics, restores lost volume by injecting an adipose-derived matrix, with treatment areas expanding beyond the face to the neck and hands. In Korea, the launch of ECM skin boosters Re2O from L&C Bio and CellREDM from HansBiomed, both based on human acellular dermal matrix (hADM), has brought domestic capabilities to the same technology category: human tissue-derived extracellular matrix (ECM). The beauty industry's focus is shifting from maintenance to restoration.

2. Anti-aging → slow aging → longevity: What's the difference?

The three concepts differ in the timing and duration of care. Anti-aging is "repair," addressing wrinkles that have already formed. Slow aging is "prevention," using sun protection and moisturization to slow the process. Longevity is "long-term care," preserving skin functions over time. Skincare is expanding from addressing problems after they arise to preventing them, and ultimately to lifelong care. Population aging and the adoption of regular skincare habits underpin this shift. The global population aged 65 and older is projected to reach approximately 1bn by 2030 and 1.5bn by 2050 (the WHO), while around 60% of dermatology consumers visit clinics regularly (Amorepacific).

This shift presents an opportunity for cosmetics firms. Products once purchased occasionally to address a problem become daily essentials, before evolving into long-term regimens combining cosmetics, procedures, and devices. Both purchase frequency and spending per transaction increase as a result. Amorepacific aims to develop IOPE into a longevity brand with a revenue of W500bn by 2035. L'Oréal has also entered the longevity market through a joint venture with Kering. We expect companies offering cosmetics, devices, and products designed to complement aesthetic procedures to benefit the most.

3. Why are dermocosmetics gaining popularity?

Daily, long-term use requires proven efficacy

As skincare becomes a lifelong routine, consumers' purchasing criteria are changing. Products used every day over extended periods need to be gentle on the skin and deliver proven results. Dermocosmetics, developed with dermatologists and supported by clinical evidence, are particularly well positioned to meet this demand. The growing number of consumers undergoing aesthetic procedures is also boosting demand. As L'Oréal's CEO noted, people who undergo aesthetic procedures also spend more on skincare.

Growth across all price points, from mass market to luxury

Dermocosmetics are not confined to a particular price segment. Growth spans the full price spectrum, from mass-market brands such as CeraVe and Cetaphil to luxury brands such as SkinCeuticals and Augustinus Bader. Amorepacific has also built a dermocosmetics portfolio across price points through ILLIYOON (mass market), AESTURA (core dermocosmetics), and IOPE (advanced functional dermocosmetics). We believe consumers are increasingly prioritizing proven efficacy over price when making purchasing decisions.

L'Oréal's 3Q call: dermocosmetics market grows 10%, highest profitability

L'Oréal's Dermatological Beauty division recorded an OPM of 26.1% in 2025 and 28.4% in 1H26, the highest among its four divisions. Its share of group revenue increased from 15.6% in 2023 to 17.7% in 1H26. On its 3Q26 earnings call, L'Oréal estimated dermocosmetics market growth at approximately 10%, twice the rate of the overall beauty market (5%).

4. From face to body and scalp: body care and haircare

Haircare and body care exports rise 39.5% YoY, outpacing skincare and makeup (+29.6%)

According to the Korea International Trade Association, exports of hair products (HS 3305) totaled $470mn (+34.7% YoY) in 1Q-3Q26, while exports of bath preparations, deodorants, and related products (HS 3307) reached $960mn (+41.9% YoY). Combined exports of the two categories totaled $1.43bn (+39.5% YoY), growing faster than skincare and makeup exports (HS 3304; +29.6% YoY). Their share of total cosmetics exports also rose from 11.4% in 2023 to 13.5% in 1Q-3Q26. Hair product export growth accelerated in September, with exports reaching $70mn (+41.3% YoY, +20.5% MoM). According to the Ministry of Food and Drug Safety, exports of body-cleansing products also rose 30.1% YoY in 1Q-3Q26.

Why the expansion into body care and haircare? The skinification of haircare

Consumers are beginning to apply facial skincare routines to their bodies and scalps. This is the so-called skinification of haircare. First, skincare ingredients are migrating into scalp and hair products. Consumers increasingly view the scalp as an extension of the facial skin, applying the same principles of skin barrier protection, soothing, and regeneration to scalp care. Indeed, popular scalp and hair products on Amazon contain skincare ingredients such as PDRN, peptides, and exosomes. These are areas in which K-beauty has already demonstrated its competitive strengths in skincare.

Second, skinification is changing product formats. Haircare is evolving from an everyday household staple into a beauty category. In the past, haircare meant buying a 1kg bottle of shampoo at a supermarket. Growth is now being driven by smaller, high-performance products with skincare-like formulations, including scalp essences, ampoules, and treatments. This shift allows haircare products to command higher prices.

Third, the market is large. According to Amorepacific, the global haircare market is worth approximately W137tn (about $96bn), with the US ranking first, China second, and Brazil third. L'Oréal has also stated that "haircare is driving growth." Haircare represents the next market in which K-beauty can capitalize on the brand recognition it has built in skincare.

Amorepacific targets W1tn haircare sales by 2030; APR expands body care

Companies are also positioning bodycare and haircare as their next growth categories. Amorepacific plans to double haircare revenue from W500bn in BY26 (Jul 2025 to Jun 2026) to W1tn by 2030, including W600bn from overseas markets. According to the company, the US scalp-care market is growing three times as fast as the overall haircare market. ILLIYOON is expanding from Olive Young's leading body care brand into a dermocosmetics brand encompassing facial skincare. APR is also seeing rising sales of its Body Peeling Shot and body washes, driven primarily by TikTok.

5. Shifting demand for aesthetic procedures: from toxins and fillers to devices and skin boosters

Device-based lifting treatments rise 23.3%, while filler procedures fall 25.2

According to ISAPS, the number of nonsurgical aesthetic procedures performed globally fell by 15.7% YoY in 2025. Hyaluronic acid filler procedures fell by 25.2% YoY and botulinum toxin procedures 7.0% YoY, while device-based lifting and tightening treatments, including Ultherapy and Thermage, rose by 23.3% YoY. We believe demand is shifting from injections toward devices and skin boosters.

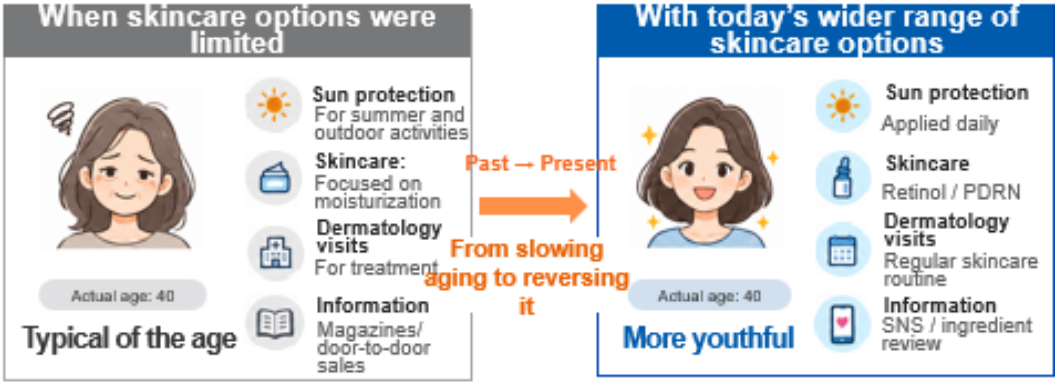
OPMs at aesthetic medical device companies: 40-51%

This market is highly profitable. In 2025, operating margins reached 50.7% at Classys, 47.2% at Hugel, and 40% at PharmaResearch, roughly two-six times those of cosmetics ODMs (8-9%) and brands (8-24%). Evolus projects that the global aesthetic injectables market will grow from $5.7bn in 2025 to $6.5bn in 2028 (+14%).

Global medical aesthetics market to reach $97.2bn by 2035, with 12.8% CAGR

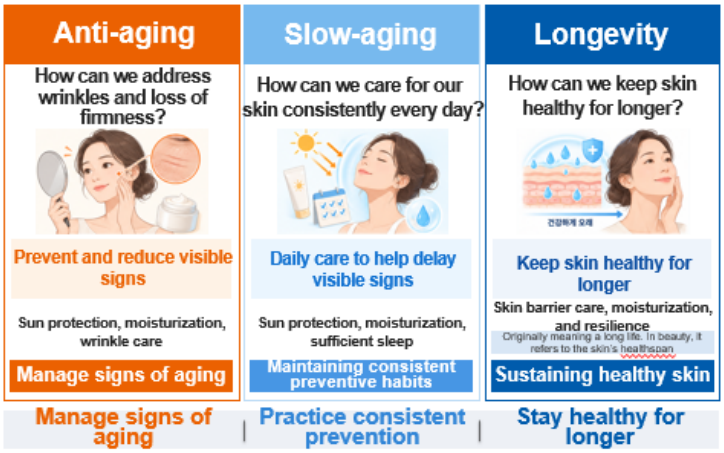
The broader market offers even greater growth potential. According to Precedence Research, the global medical aesthetics market, encompassing devices and procedures, is projected to expand 3.3-fold from $29.2bn in 2025 to $97.2bn by 2035, posting a CAGR of 12.8% over 2026-2035. For reference, Evolus estimates the size of the aesthetic injectables market, including toxins and fillers, at $5.7bn in 2025. By region, North America accounts for the largest share at 54%, with the US market alone worth $11.1bn. Among devices, energy-based devices (EBDs) are expected to grow the fastest. This explains why Korean companies are expanding into the US and Europe with EBDs and skin boosters at the forefront.

Age 40 then and now: how skincare creates a more youthful appearance at the same age



Source: Yuanta Securities

Comparison of approaches to aging



Source: Yuanta Securities

Recently launched longevity-related cosmetics products



Source: Lancome, Dior, Estee Lauder, Guelain, Clarins, and The Whoo websites, Yuanta Securities

Anti-aging → slow aging → longevity: How do they differ, and what drives the transition?

Category	Etymology	Key question	Focus	Typical care
Anti-aging	anti (against) + aging (growing older) → countering aging	How old do I look?	Addressing existing signs of aging (corrective care)	Anti-wrinkle creams, lifting procedures
Slow aging	slow + aging → aging gradually	How quickly am I aging?	Slowing the aging process (preventive care)	Daily sun protection, moisturization, sufficient sleep
Longevity	Latin longus (long) + aevum (lifetime) → a long life	How long can I stay healthy?	Preserving skin function over time (long-term care)	Maintaining the skin barrier and resilience

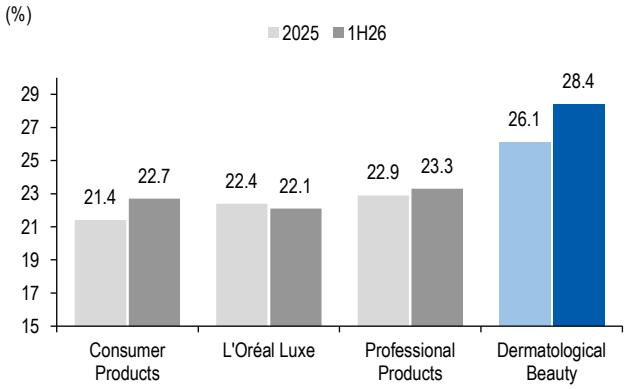
Source: Yuanta Securities

Dermocosmetics product price spectrum: from mass market to luxury



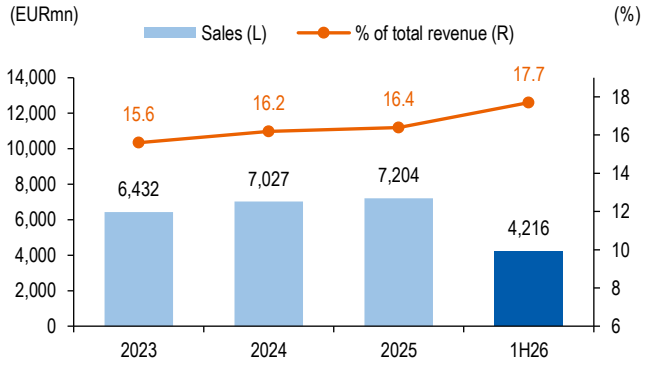
Note: Prices per ml are approximate, calculated from regular retail prices at major online retailers in the US, UK, and other markets.
Source: Company data, Amorepacific Investor Day (Sep 2026), Yuanta Securities

L'Oréal: operating margin by division



Source: L'Oréal, Yuanta Securities

L'Oréal: Dermatological Beauty revenue and its portion



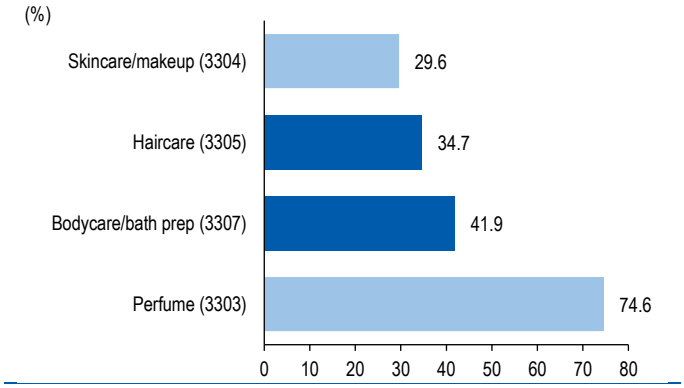
Source: L'Oréal, Yuanta Securities

L'Oréal CEO on dermocosmetics and aesthetic procedures (3Q26 earnings call)

Topic	Summary of remarks
Dermocosmetics growth	Dermocosmetics across all price points account for the largest share of skincare market growth. CeraVe, La Roche-Posay, and SkinCeuticals are all posting double-digit growth.
Dermocosmetics market	The dermocosmetics market is growing at close to 10%. Consumers undergoing aesthetic procedures are using more dermocosmetic skincare products.
Aesthetic procedures and skincare	Consumers who undergo aesthetic procedures also spend more on skincare. We are developing products for use before and after procedures.
GLP-1	Increasing use of GLP-1 weight-loss drugs is influencing skincare consumption.

Source: L'Oréal, Yuanta Securities

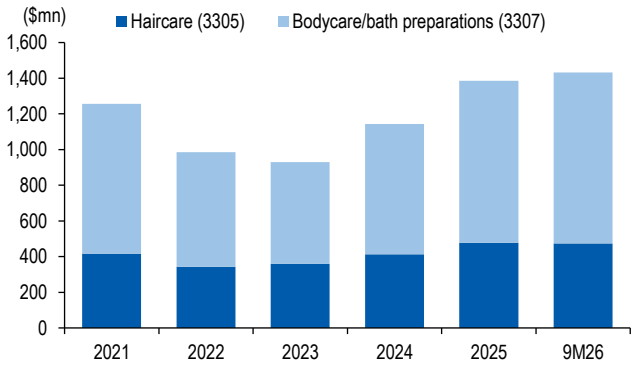
Cosmetics export growth by product category (1Q-3Q26)



Note: based on HS codes; YoY growth. HS 3307 includes bath preparations, deodorants, shaving preparations, and related products

Source: KITA, Yuanta Securities

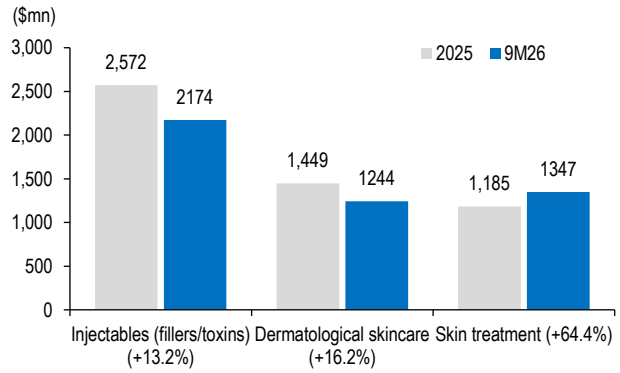
Haircare and body care exports



Note: combined exports under HS 3305 (hair products) and HS 3307 (bath preparations, deodorants, etc.). The 2026 figure covers January–September

Source: KITA, Yuanta Securities

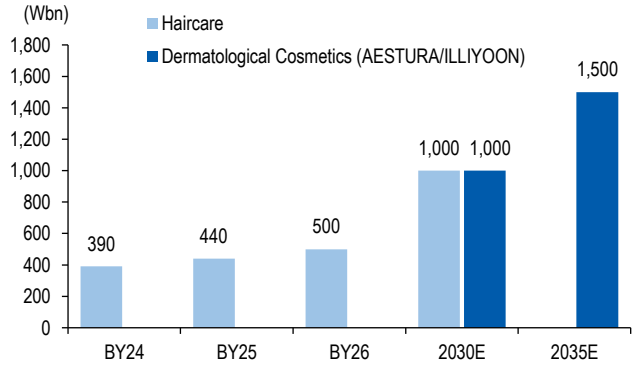
Galderma revenue by division



Note: figures in parentheses indicate YoY growth at constant exchange rates in 1Q-3Q26. Cetaphil belongs to the Dermatological Skincare division.

Source: Galderma (2025 full-year results, 1Q-3Q26 results), Yuanta Securities

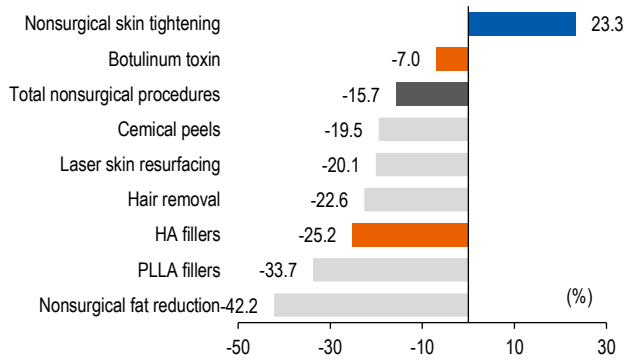
Amorepacific's dermocosmetics and haircare revenue targets



Note: dermocosmetics target combines AESTURA and ILLIYOON. IOPE has a separate revenue target of W500bn for 2035. Figures for 2030 and 2035 are company targets

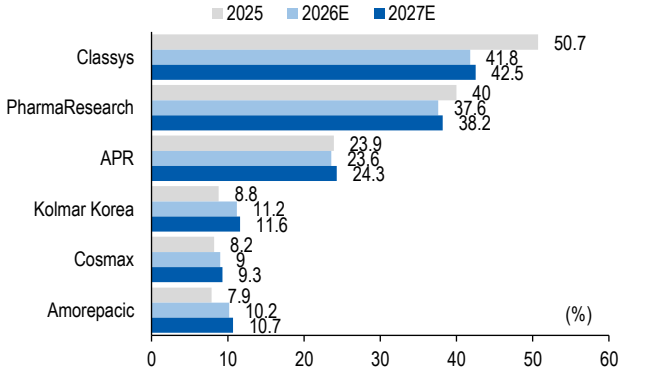
Source: Amorepacific Investor Day (Sep 2026), Yuanta Securities

Growth in no of nonsurgical aesthetic procedures worldwide (2025)



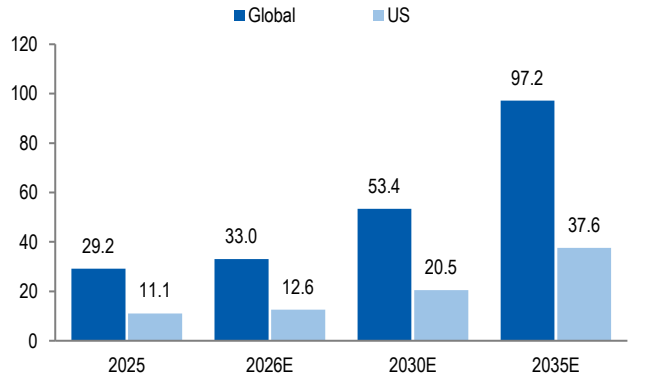
Note: change versus 2024; based on survey of plastic surgeons; skin boosters are not included as a separate category
Source: ISAPS International Survey 2025, Yuanta Securities

OPMs of aesthetic medical device and treatment firms vs cosmetics companies (2025–2027E)



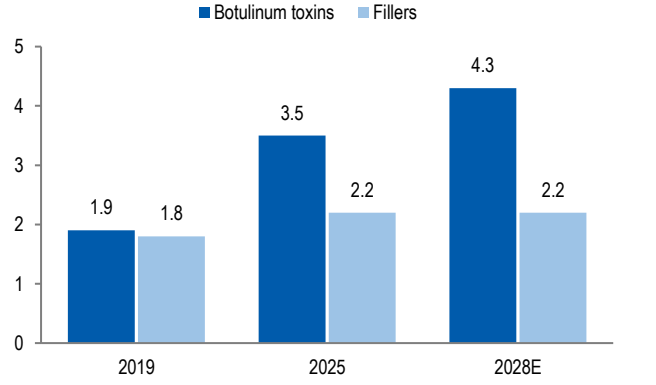
Source: company data, Yuanta Securities

Global medical aesthetics market size ($bn)



Note: based on Precedence Research's definition, encompassing devices and procedures. 2030 estimate is calculated using the projected CAGR for 2026–2035.
Source: Precedence Research (2026), Yuanta Securities

Aesthetic injectables market: toxins and fillers ($bn)



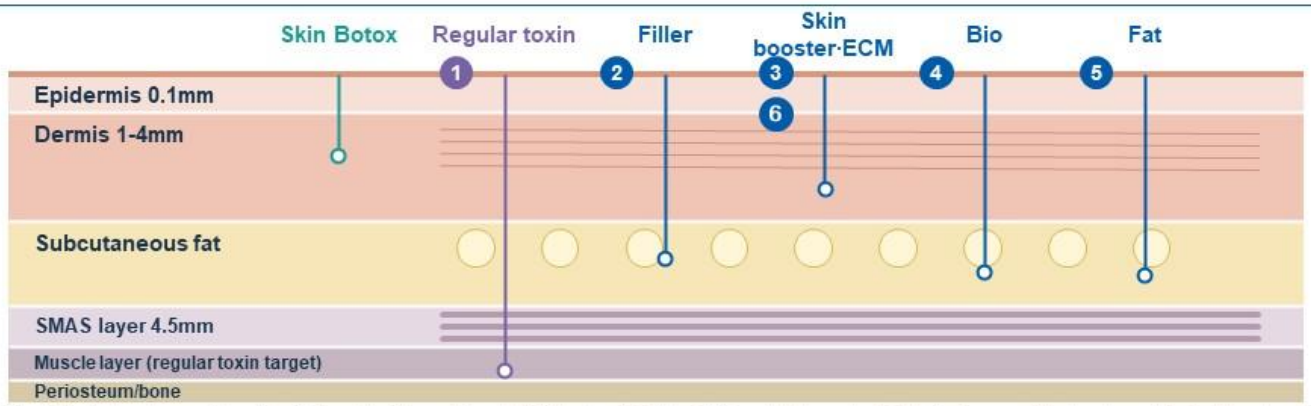
Note: includes toxins and fillers; market definition differs from that in the chart on the left side, as the data come from different research providers.
Source: Evolus (Aug 2026), Yuanta Securities

Injectable procedures

Which layer of skin receives what?

Toxins regulate muscle movement, while fillers replenish volume. Biostimulators induce collagen synthesis, and skin boosters support hydration and regeneration depending on active ingredients. ECM directly restores structural components.

Injection sites and skin layers



Direct injection targets are not the epidermis. Regular toxin (muscle layer), skin Botox (superficial dermis). Target depths vary by clinical objective across filler, booster, and biostimulators dependi ng on product/purpose.

Injectable category | target layer, mechanism, representative products, clinical onset

Procedures/metaphor	Mechanism	Onset/duration	Key products (overseas/domestic)
1 Botulinum Toxin Giving muscles a temporary rest	Blocks neural signals to temporarily relax muscles Softens expression lines/reduces masseter muscle volume | Muscle layer	Immediate About 3-4months	Botox (Allergan, US)·Xeomin (Merz, Germany) ·Nabota (Daewoong)·Coretox (Medytox)
2 Fillers Replenishing lost volume	Restores volume/facial contours via subcutaneous or supra-periosteal placement Injected into dermal planes for wrinkle correction	Immediate About 6-18months	Juvederm (Allergan)·Restylane (Galderma)·Belotero (Merz)·Neuramis (Medytox)
3 Biostimulators Restarting the collagen factory	PLLA·CaHA·PCL stimulate collagen synthesis PCL = particulate/liquid forms; Deep dermis to subcutaneous, select periosteal planes	After several days About 1-3months	Scultra (PLLA)·Radiesse (CaHA)·Ellanse (PCL) / Juvelook (PDLLA), GOURI (GOURI, liquid PCL)
4 Skin boosters Nourishing the skin foundation	HA delivers hydration; PN supports a regenerative microenvironment Primarily dermis, superficial subcutaneous depending on product	Immediate About 1-6months	HA: Skinvive·Belotero Revive·HILOWAVE / PN: Rejuran
5 Fat-dissolving injections Reducing localized fat pockets	Deoxycholic acid (DCA) lyses adipocyte cell membranes Localized fat including double chin| Subcutaneous fat	Multiple sessions Adipocytes do not regenerate	Kybella (Allergan Aesthetics, US), V-OLET (Daewoong Pharm)
6 ECM/hADM Directly replenishing structural matrix components	hADM reinforces ECM components Skin structural restoration	After several days About 3-6months	hADM: Re2O · CellREDM (Hans Biomed) Fat ECM: Renuva (MTF Biologics, US)

Skin boosters, ECM, biostimulators have distinct clinical objectives

PN skin boosters

Salmon DNA-derived PN.
Promotes recovery of damaged tissues and supports a regenerative microenvironment.
"Skin's repair mechanic"

Rejuran (PharmaResearch)
*** APR: began overseas supply of PN skin booster (launching in Chile in Nov 2026)**
Domestic launch planned following Class 4 medical device approval

HA skin boosters

Primarily enhances hydration, skin texture, and fine wrinkles.
Retains dermal moisture like a **"water sponge"**

Skinvive (Allergan) · Belotero Revive (Merz) · HILOWAVE (Higher Corporation)

ECM / hADM (human acellular dermal matrix)

Direct injection of pure dermal extracellular matrix obtained by removing cellular components from human donor dermis.
hADM **reinforces structural skin integrity.**
Adipose ECM **aims to restore volumetric fullness.**

hADM: Re2O (L&C Bio) · CellREDM (Hans Biomed)
Adipose ECM: Renuva (MTF Biologics, US)

Biostimulators

PLLA·PDLLA·CaHA·PCL **induce collagen synthesis.**
PCL formulations include particulate and liquid forms.

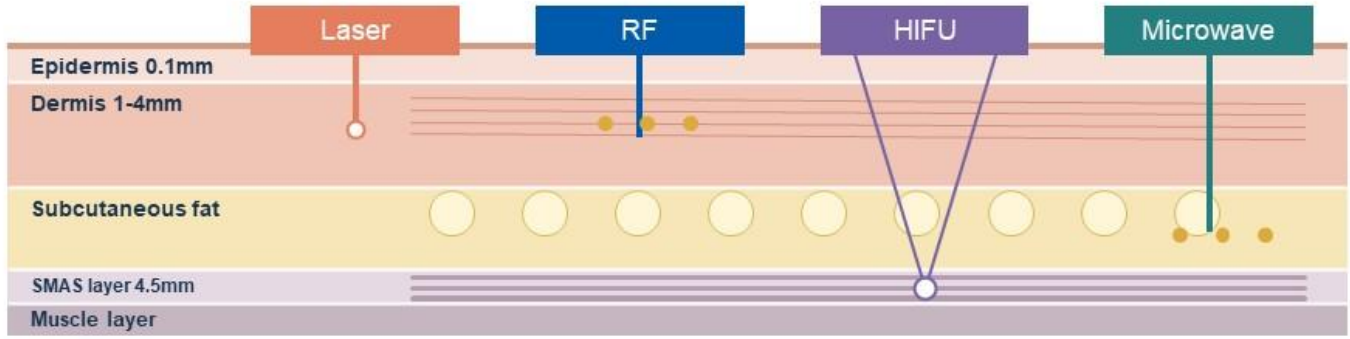
Sculptra · Juvelook · Radiesse · Ellanse · GOURI (liquid PCL)

Energy-based devices

Where does energy generate heat within the skin?

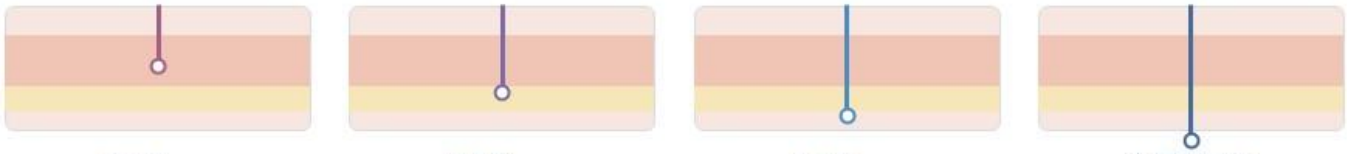
Light, electricity, ultrasound, and electromagnetic waves generate heat to stimulate collagen regeneration.

Skin penetration depths by energy modality



Colored bands distinguish skin structure. Colored lines and dots indicate the depth/target where energy reaches.

Laser | wavelength determines depth, pulse duration defines the exposure time of light



694nm	755nm	810nm	1,064nm
Ruby	Alexandrite	Diode	Nd:YAG
Pigmentation/tattoo Ruby laser	Pigmentation/hair removal Apogee+ (755nm)	Hair removal Soprano Titanium	Deep pigmentation/vascular/toning Genesis · DermaV

Longer wavelengths reach deeper; Device examples: Soprano Titanium (Alma), Genesis (Cutera), DermaV (Lutronic), PicoWay (Candela). Actual penetration depth varies depending on the device, settings, and treatment area.

- Millisecond 1/1,000sec — "Heats like an iron" / treats with heat: hair removal/vascular lesions
- Nanosecond 1/1bn sec — "Breaks with a hammer" / shatters pigment: melasma blemishes/sunspots
- Picosecond 1/1tn sec — "Pulverizes into powder" / tattoos/sunspots/PicoWay (Candela)

Mechanism, primary indication, representative devices by energy modality

Modality/in simple terms	Target layer/thermal mechanism/ primary uses	Representative overseas devices	Representative domestic devices
Laser "Light that selectively targets desired color"	Epidermis: pigmentation/blemishes/toning; Dermis: scars/pores/vascular lesions/hair removal. Melanin and hemoglobin utilize photothermal or photomechanical/photoacoustic effects, varying by device.	PicoSure (Cynosure, US) · PicoWay (Candela, US) · Fraxel (Solta Medical, US) Soprano Titanium (Alma Laser, Israel) · excel V+, xeo+ (Cutera, US) · Apogee+ (Cynosure, US)	Reepot, Encore 3D (Classys) · DermaV (Lutronic) · Spectra XT · Clarity II (Lutronic)
Ultrasound HIFU "Focuses at a single point like a magnifying glass"	Focuses on the 1.5-3.0mm dermis and about 4.5mm SMAS. Uses instantaneous heat to manage dermal elasticity and SMAS lifting.	Ulthera, Ulthera Prime (Merz, Germany)	Shurink Universe (Classys) · APR's HIFU device completed of domestic approval and to be launched
Non-invasive RF "Warms the inside like an electric heating pad"	Uses resistance heat generated when electrical current flows. Used for dermal collagen contraction/regeneration, elasticity/fine lines and fat layer tightening.	Thermage FLX (Solta Medical, US) · InMode Forma (InMode, Israel)	Volnewmer (Classys) · Oligio (Wontech) · Density (Jeisys Medical) · XERF (Lutronic) Coolfase (Asterasys)
Microneedle RF "Emits heat from the tips of fine needles"	Delivers heat to the dermis from the needle tips. Used for managing scars, pores an d skin texture.	Morpheus8 (InMode, Israel)	Secret RF, Quadessy (Classys) · Sylfirm X (Viol) · Potenza (Jeisys Medical)
Microwave "Targets like a microwave oven"	Onda (DEKA, Italy): localized fat/cellulite/skin tightening miraDry (US): underarm excessive sweating treatment		-

IV. Corporate expansion: pharma, bio, and medical device companies are also exporting

1. Companies crossing industry boundaries

Growing overlap among cosmetics, medical devices, and pharmaceuticals

More companies are crossing the boundaries between cosmetics, medical devices, and pharmaceuticals. Galderma, PharmaResearch, and Daewoong Group are among those with businesses spanning all three areas.

Medical aesthetics sits at the intersection of pharmaceuticals and beauty. Evolus estimates the size of the pharmaceutical and beauty/wellness industries at approximately $1.5tn each. At around $30bn in 2025, the medical aesthetics market remains small relative to these two industries, but is expected to deliver double-digit annual growth. Younger generations are driving demand. According to Qsight, millennials and Gen Z accounted for 45% of aesthetic treatment patients in 2024, up from 29% in 2017, while the share of baby boomers and older generations fell from 31% to 19% over the same period. As pharmaceutical companies such as Galderma and AbbVie move into beauty, and beauty companies such as Amorepacific and APR enter medical aesthetics, the boundaries between the two industries are blurring.

Cosmetics → medical devices: APR, Amorepacific

APR completed domestic approvals for its EBD aesthetic medical device, with a commercial launch expected between late 2026 and early 2027. Its PN skin boosters secured Class 2 medical device certification and export approval, supplying test volumes to Japan, Latin America, and the Middle East. Amorepacific contributed W80bn to an acquisition fund targeting Viol, while Amorepacific Holdings signed a strategic investment agreement with Higher Corporation in Jul 2026.

Medical devices/pharmaceuticals → cosmetics: PharmaResearch, Classys, Dongkook Pharmaceutical

Expansion in the opposite direction is also increasing. PharmaResearch's 2025 cosmetics sales came to W131.5bn, with exports accounting for 64%. Classys is selling home care devices and cosmetics under its Shurink Home line. Among pharmaceuticals, Dongkook Pharm's Centellian24 generated cosmetics revenue of W222.7bn in 2025, and Dong-A Pharmaceuticals' FATION W24.6bn.

ECM skin boosters: tissue banks partnering with pharmaceuticals

Expansion into new skin booster categories is also continuing. ECM skin boosters derived from human acellular dermal matrix (hDAM) began to be released in Nov 2024 with Re2O (manufactured by L&C Bio and distributed by Humedix), followed by CellREDM (Hans Biomed, Hugel), Juveacell (DOF, Vaim), and Adite (MedPark). In 2026, GCELLE Rebornne (MS Bio, GC Welllbeing), CELIVION LinJ (Ortho Tech, Bio Bijou), and HUCELLIN (DM Bio) were launched, and Daewoong Pharm (CG MedTech) is also preparing to enter the market. Human tissue processing banks are paired with pharmaceutical firms possessing hospital distribution networks. Since raw materials and processing capacity are limited, the market will likely be reshaped centered on a select few players with stable supply capabilities.

2. Strategic moves by global firms: Galderma, L'Oreal, Amorepacific

Filler company Galderma's dermo-skincare growth

Galderma's 1Q-3Q26 revenue came to $4.77bn (+25.1% YoY, constant forex rate). Growth in Cetaphil-led dermo-skincare (16.2%) and dermatological treatments (64.4%) outpaced injectable aesthetics (+13.2%). L'Oreal decided to expand its stake in Galderma from 10% to 20% (announced in Dec 2025), and invested about W10.5bn in OliX Pharmaceuticals via its venture fund BOLD in June 2026.

Amorepacific's BY2027 targets

Amorepacific targets combined Aestura and Illiyoon revenue of W1.0tn by 2030 and W1.5tn by 2035. Its BY27 targets call for revenue growth of 10%, OPM of 11-12%, and regional revenue growth of 20% in the Americas, 30% in EMEA, and 30% or higher in Japan.

3. Export contributions and earning impact of new entrants

PharmaResearch 2Q26 exports W84bn (+62% YoY)

Exports of aesthetic medical device and pharmaceutical firms are growing rapidly. PharmaResearch's 2Q26 export sales came to W84bn (+62% YoY), with its export mix rising to 47%. Medical device exports rose 33% YoY, posting a quarterly high, while cosmetics exports grew 124% YoY. Classys also saw existing business revenue rise 27.6% YoY in 2Q26, while Ultraformer posted record quarterly overseas sales.

APR: scenarios for earnings contributions from new businesses

Thus far, cosmetics revenue at pharmaceutical companies ranges from tens of billions to around W200bn, too modest to shift sector profit. The magnitude of this transformation will likely be confirmed through APR. APR's new businesses are EBD aesthetic medical devices and PN skin boosters. The company completed domestic approval for EBD aesthetic medical devices, with the launch expected between late 2026 and early 2027. Its PN skin boosters secured Class 2 medical device certification and export approval, supplying test volumes to Japan, Latin America, and the Middle East, while domestic sales clearance (Class 4) will likely require roughly 1.5 more years. The company expects new business revenue to contribute meaningfully from 2027.

We estimated the earnings contributions across three new business revenue scenarios: W50bn, W100bn, and W200bn. We applied the 2025 average OPM of three domestic aesthetic medical device makers (Classys 50.7%, Hugel 47.2%, PharmaResearch 40%) of 46% as the base case, and conservative a 30% margin factoring in early-stage marketing expenses. Under the base case, W100bn in new business revenue will likely yield W46bn in OP, adding 4.0% to 2027E OP (W1.14tn). Revenue of W200bn equates to two quarters of Classys' 2026 revenue (W105.5bn), expanding the OP contribution to W92bn (8.1% of 2027E OP). Even under the conservative assumption (OPM 30%), W100bn in revenue adds W30bn (2.6%) in OP. As new businesses command higher OPMs than the existing cosmetics business, their growing sales mix should drive up overall OPM.

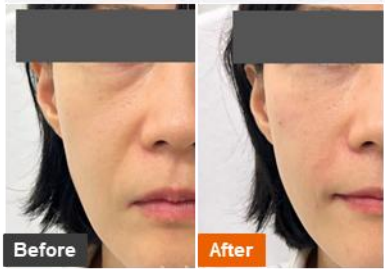
Major domestic skin boosters: before and after cases at overseas clinics

PharmaResearch Spain
① Rejuran



Procedure 1 session; after 1 month
Efficacy **Reduction in periorbital fine lines, improvement in skin tone/radiance**
Source: Instagram @dra.gelpi (Ilahy Instituto, Spain)

Higher Corp Japan
② HILOWAVE



Procedure 4cc injection / 1unit (2cc) JPY32,000
Efficacy **Undereye volume replenishment/softening of nasolabial folds, skin barrier hydration**
Source: Instagram @dr.maachin (AB Clinic Tokyo)

L&C Bio Japan
③ Re2O



Procedure 1session (5ml) / JPY59,800
Efficacy **Reduction in pores/wrinkles, skin tone evening**
Source: Tsubaki Clinic(椿クリニック, Ginza, etc.) webpage

Hans Biomed Japan
④ Skin Plus



Procedure After 3 sessions / JPY98,000 per session
Efficacy **Improved firmness around cheeks, surface tightening**
Source: Instagram @iseaclinic (Tokyo ISEA)

Note: PN = salmon DNA-derived polynucleotide; HA = hyaluronic acid; ECM = human cellular dermal matrix (hADM); Skin Plus = Japanese commercial brand for CellREDM
Source: company data, Instagram, Tsubaki Clinic, Yuanta Securities

Cosmetics → medical devices/medical aesthetic

Company	Existing business → expansion area	Entry method and current status
APR	Cosmetics/home beauty devices → medical devices/skin boosters	Completed domestic regulatory approval for EBD medical devices, scheduled for launch between year-end and early next year. Secured Class 2 certification and export approval for PN skin booster, commencing exports in 2Q26 and supplying test volume and establishing local distribution network centered on Japan, Latin America, and the Middle East from 3Q26. Domestic sales clearance (Class 4) to take an additional 1.5 years.
Amorepacific	Cosmetics → medical aesthetic devices	Contributed W80bn to acquisition fund targeting VIOL, securing a 49.5% fund stake.
Amorepacific Holdings	Group holding company → medical aesthetics investment	Signed strategic investment agreement with Higher Corporation on Jul 27, 2026
NeoPharm	Medical device-certified skincare (Zeroid) → Injectable skin booster (HILOWAVE) distribution	Secured exclusive domestic distribution rights for Higher Corporation's HILOWAVE. Began distribution via Zeroid's hospital/clinic network from May 2025

Source: company data, media reports, Yuanta Securities

Medical devices and medical aesthetics → cosmetics and at-home beauty

Company	Existing business → expansion area	Cosmetics business status	Cosmetics revenue (2025 / 1H26)
PharmaResearch	Medical devices, including Rejuran → Rejuran cosmetics	Expanding overseas cosmetics sales	W131.5bn (64%) / W102.3bn (69%)
Classys	Professional aesthetic medical devices → at-home beauty devices and cosmetics	Offers home-use devices, including Lift to Glow and Volium, and complementary cosmetics through Shurink Home; expanding into new products, pharmacy channels, and the US market in 2H26	W7.3bn (16%) / W3.9bn (8%)
Humedix	Aesthetic products, including fillers → cosmetics	Launched on Amazon US in Jan 2026 and introduced Re2O cosmetics line in June, distributed through pharmacy platform Baropharm	W9.6bn / W1.8bn (2Q26)
BIOBIJOU	Fillers and skin boosters → medical cosmetics	Cosmetics sales are increasing as US distribution channels expand	-

Note: figures in parentheses indicate cosmetics exports as a percentage of cosmetics segment revenue
Source: company data, media reports, Yuanta Securities

Pharmaceuticals and biotechnology → cosmetics and at-home beauty

Company	Existing business → expansion area	Market entry strategy and business status
Dongkook Pharmaceutical	Pharmaceuticals → dermocosmetics and at-home beauty devices	Operates Centellian24, leveraging Centella asiatica-derived TECA technology. Expanding overseas distribution and at-home beauty portfolio, led by Madeca Cream
Dong-A Pharmaceutical	Pharmaceuticals → dermocosmetics	Offers blemish-care products under FATION. Expanding domestic distribution channels, including Olive Young, Daiso, and military PX stores, and overseas distribution in the US, Japan, and Southeast Asia. FATION revenue reached W24.6bn in 2025, while dermocosmetics business revenue totaled W15.5bn in 1H26
DN Cosmetics	Pharmaceutical technology → dermocosmetics	Offers EGF-based dermocosmetics under Easydew. Following its entry into Qoo10 Japan, pursuing additional sales channels, including TikTok Shop in North America and Amazon. Company revenue totaled W174.6bn in 2025, with exports accounting for 6.8%.
Celltrion Skincure	Biotechnology group affiliate → Skincare and dermocosmetics	Operates Hanskin, CELLCURE, GPH Derm, and plodica. Expanding overseas distribution, particularly in North America and the Middle East, led by Hanskin; company revenue totaled W40.8bn in 2025 and W17.9bn in 1H26, with global sales channels accounting for 27% of 1H26 revenue
CKD Healthcare	Health supplements → dermocosmetics	Operates CKD Guaranteed and CLIDERM; expanding domestic distribution and establishing overseas sales networks in Russia and India, following Japan, Taiwan, and Hong Kong
Hanmi Science	Pharmaceutical group capabilities → dermocosmetics	Launched ADESI in 2026, following its pharmacy-focused PRO-CALM brand; expanding skincare products by leveraging pharmaceutical research capabilities
Yuhan Corp	Pharmaceuticals → skincare	Operates brands including DINSEE, Derma Puramin Rx, and The IU; broadening consumer reach beyond pharmacies, including the launch of Daiso-exclusive products
HK inno.N	Prescription pharmaceuticals → skincare, scalp care, and haircare	Operates the skincare brand bewants and the scalp and haircare brand SCALPMED, offering serums, creams, shampoos, and treatments
Taiguk Pharmaceutical	Topical dermatological treatments → cosmetics for hyperpigmentation care	An LG H&H subsidiary operating the DOMINAS hyperpigmentation-care brand. Expanding its product range from creams to ampoules, cushion foundations, and sun care

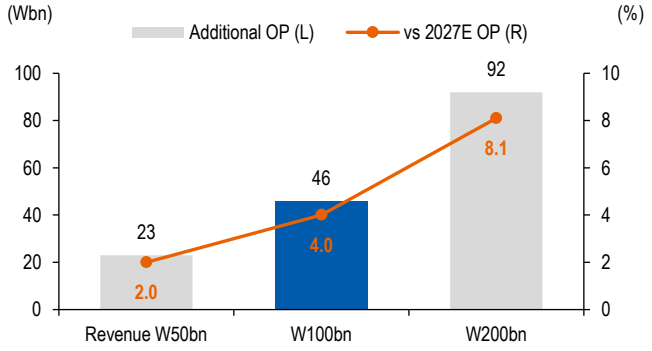
Source: company data, media reports, Yuanta Securities

Domestic ECM (hADM) skin booster launches

Launch	Manufacturer (tissue bank)	Distributor	Product name	Particle size	Active ingredient content	Japanese distributor
Nov-24	L&C Bio	Humedix·L&C Bio	Re2O	75㎛	150mg	PRSS JAPAN
Dec-25			Re2O Fine	50㎛	50mg	PRSS JAPAN
Oct-26			Re2O V	250㎛	300mg	-
Sep-25	Hans Biomed	Hans Biomed·Hugel (Jul 2026-)	CellREDM	75㎛ or below	160mg	INFIX
Sep-26			CellREDM V	75~212㎛	320mg	-
Oct-26			CellREDM B	75㎛ or below (original) / 53㎛ or below (micro)	-	-
Nov-25	DOF	Vaim	Juveacell 8%/3%	70㎛	80mg/30mg	-
Dec-25	MedPark	MedPark·ZETEMA (May 2026-)	Adite	Average of 45㎛ or below	150mg	-
Dec-25	Ortho Tech	iDermaBio	LUVIZ re:fill	-	150mg	-
Mar-26	-	DM Bio	HUCELLIN powder / L liquid	70㎛ or below (average 17㎛)	150mg / 1cc 3%	-
Mar-26	MS Bio	GC Wellbeing	GCELLE Rebornne	-	150mg	Nifuji
Mar-26	PuzzleB	CellacBio	Revix	Average 50㎛	150mg	-
Apr-26	Ortho Tech	Bio Bijou	CELIVION LinJ	Average 34㎛	-	-
May-26	CG Medtech	DN Company (Daewoong affiliate)	Realo Inject Fine	-	-	-
2026E	CG Medtech (CDMO)	Kolong Pharma	TBD	-	-	-
Jun-26	Regen Bio	Uan Medi	TISSIVO (powder)	Average 17㎛	-	-
Aug-26			TISSIVO L (liquid)	-	-	-
Oct-26	Iretech Korea	La Meditech	IOFILL	-	-	-
2026E	Undisclosed (import)	DongBang Medical	VELUCELL	-	-	-

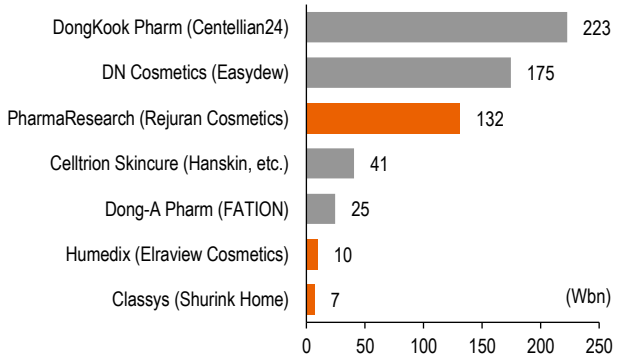
Source: company data, media reports, Yuanta Securities

APR: additional OP by new biz (EBD, skin booster) revenue scenario



Note: new business OPM assumes 2025 average of 3 domestic aesthetic medical device makers (46%); based on 2027E OP of W1.14tn
Source: Yuanta Securities

Pharmaceuticals/medical device firms' cosmetics revenue (2025)



Note: DN Cosmetics and Celltrion Skincare represent total revenue; Dong-A Pharm represents FATION brand revenue
Source: company data, DART, Yuanta Securities

APR new business earning sensitivity: OPM 30% vs 46%

New business revenue	Additional OP assuming 30% OPM	Share in 2027E OP	Additional OP assuming 46% OPM	Share in 2027E OP
W50bn	W15bn	1.3%	W23bn	2.0%
W100bn	W30bn	2.6%	W46bn	4.0%
W200bn	W60bn	5.3%	W92bn	8.1%

Note OPM of 46% is the 2025 average of Classys, Hugel, and PharmaResearch; based on 2027E OP of W1.14tn
Source: Yuanta Securities

4. K-ODM, production base for all brands

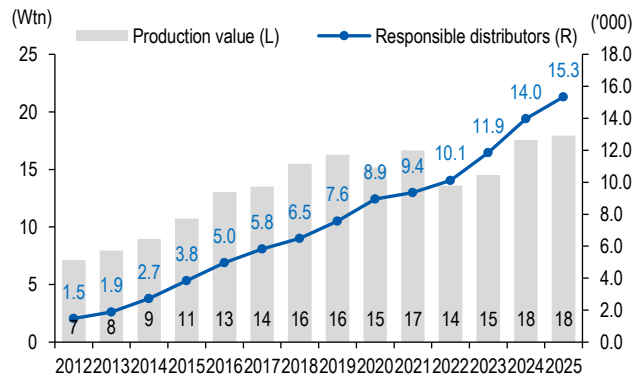
15,342 responsible cosmetics distributors; global #1 and #2 ODMs are Korean

As more firms enter the market, the role of ODMs handling production becomes more critical. The number of responsible cosmetics distributors (a Korean regulatory designation) increased tenfold from 1,480 in 2012 to 15,342 in 2025, and production value rose 2.5x from W7.1tn to W17.9tn.

L'Oreal-Cosmax joint development MOU, production capacity to expand

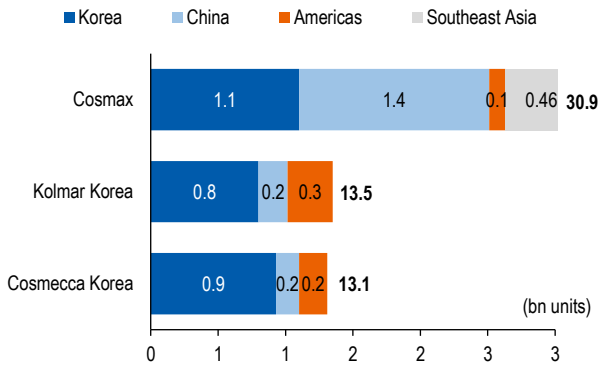
Clients are not limited to Korean brands. L'Oreal signed a joint development MOU with Cosmax for products, ingredients, and formulations in Sep 2026. Its CEO stated that Korean firms supply products not only to Korean brands but also to L'Oreal. Production capacities (2026) are projected at 3.09bn units for Cosmax, 1.35bn for Kolmar Korea, and 1.31bn for Cosmecca Korea.

Number of responsible cosmetics distributors and production value



Note: based on firms with production records, Source: MFDS, Yuanta Securities

2026E capacity estimates for major K-ODMs



Source: Yuanta Securities

L'Oreal CEO on K-beauty (3Q26 conference call)

Topic	Key remarks
K-beauty boom	The K-beauty boom is real. Korean firms supply products not only to Korean brands but also to our brands.
Korean partners	We are the global leader in cushions. YSL Cushion was a huge success in the US and it was co-created with a Korean partner.
Cosmax	We recently entered into an MOU with Cosmax, the number one player in Korea.
Korean brands	Korean brands are innovative, reasonably priced, and growing at an average pace of around 30%. They still represent just 3-4% of the global skincare market.

Source: L'Oréal, Yuanta Securities

5. Time to market: 2Q production for 4Q peak season

Value chain and lead times

The K-beauty value chain operates as a single team across raw materials, packaging, ODM, brand, and distribution. For the 4Q peak season, production must begin in 2Q at the latest, given that packaging needs 6-8 weeks, formulation/filling 6-8 weeks, and shipping 5-8 weeks (US about 5 weeks, Europe about 8 weeks).

ODM/packaging revenue peaks in 2Q

In fact, in 2025, quarterly revenue portions peaked in 2Q for Cosmax (26.0%), Kolmar Korea (26.8%), and Pumtech Korea (28.3%). Container maker Pumtech Korea's 4Q share stood at just 20.7%. On the other hand, brand companies' earnings peak in 4Q, when sales are concentrated. APR's 4Q26 OP is forecast to hit an annual quarterly high of W224.2bn (+72.1% YoY). Financial results of ODMs and packaging firms are confirmed one to two quarters ahead of brand owners.

K-beauty value chain and time-to-market

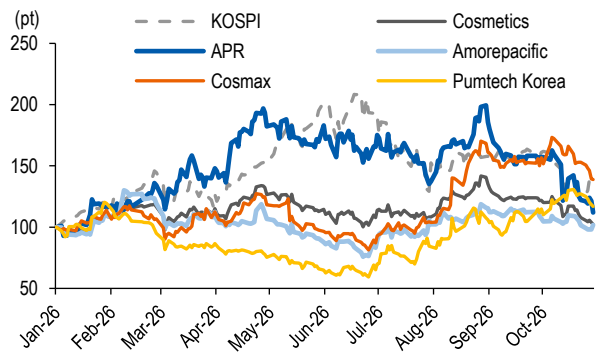


Note: schedules and lead times are illusive planning baselines and may vary based on product, testing, certification, logistics conditions; sales channel examples do not imply actual product listing by any specific brand
Source: Yuanta Securities

Top picks: APR and Amorepacific

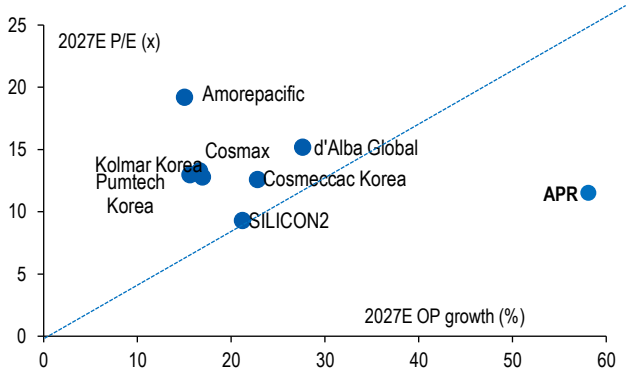
In 2027, we expect brand owners driving market, product, and company expansions, as well as value chain firms providing production bases for an increasing number of market participants to outperform. Among brands, our top picks are APR and Amorepacific, and within the value chain, we present Cosmax (ODM) and Pumtech Korea (container) as second top picks. 2027E P/Es stands at 11.5x for APR, 12.8x for Cosmax, 13.3x for Pumtech Korea, and 19.2x for Amorepacific.

2026 share price trend



Note: Jan 2, 2026=100; based on daily closing price (until Oct 30, 2026))
Source: FnGuide Quantiwise, Yuanta Securities

2027E P/E and OP growth



Note: P/E based on Oct 30, 2026 close and 2027E EPS
Source: Yuanta Securities

Earnings forecast and valuation of top picks and second top picks

Company	Pick	Rating	Target price (won)	Current price (won)	Upside (%)	2025A OP	2026E OP	2027E OP	2027E OP growth (%)	2027E P/E (x)
APR	Top pick	BUY	435,000	261,000	66.7	366	721	1,140	58.1	11.5
Amorepacific	Top pick	BUY	178,000	129,100	37.9	336	484	557	15.0	19.2
Cosmax	Second top pick	BUY	363,000	247,000	47.0	196	273	319	16.9	12.8
Pumtech Korea	Second top pick	BUY	80,000	64,200	24.6	57	76	88	16.6	13.3

Note: OP in Wbn unit; current price = Oct 30, 2026 close
Source: FnGuide Quantiwise, Yuanta Securities

Investment highlights by company

APR (top pick): from the US to Europe and Latin America, from cosmetics to aesthetic medical devices

APR's 3Q26 revenue hit a quarterly new high of W773.1bn (+100% YoY), but OP missed market expectations (W181.4bn) at W160.6bn (+69% YoY, OPM 20.8%). The US dollar and euro both depreciated 13% against the won during 3Q26, resulting in valuation losses on foreign-currency trade receivables and lower won-denominated revenue, which reduced OPM by 3.6%p. Overseas sales came to W722.9bn (+135% YoY), accounting for 94% of the total. The company applied its US strategy of scaling from Amazon and TikTok into offline channels including Ulta Beauty, Target, and Walmart in Europe, with entries into Boots, Space NK, and Superdrug. We expect 4Q26 OP to hit a new high of W224.2bn (+72.1% YoY). The domestic launch of its HIFU-based EBD medical device is expected as early as year-end, while its PN skin booster will be launched in Chile in November. We expect the company to post 2027 revenue of W4.7tn (+53.6% YoY) and OP of W1.14tn (+58.1% YoY, OPM 24.3%). Factoring in forex impacts, we revise down our earnings estimates and cut our target price to W435,000, but maintain BUY.

Amorepacific (top pick): growth resuming centered on dermocosmetics, hair care

Product and market expansions are taking place at the same time. Growth is anchored by dermo cosmetics (Aestura, Illiyoon, IOPE) and hair care (Mise-en-Scene, Ryo), with the portion of dermo cosmetics expanding to the mid-20% range of overall sales. In Europe, following Sulwhasoo's entry into Harrods in the UK and Amazon UK launches for Laneige, Innisfree, and Aestura, the company is preparing to enter major offline retailers in 2027. In 3Q26, OP came in line with expectations at W115.2bn (+25% YoY), while domestic OPM expanded to 13.6% on increasing inbound tourist demand. The company's targets for BY27 include revenue growth of 10% and OPM of 11-12%, with regional growth of 20% in the Americas, 30% in EMEA, and over 30% in Japan. OPM will likely grow from 7.9% in 2025 to 10.2% in 2026 and 10.7% in 2027. We estimate 2027 OP at W557bn (+15.0% YoY). We maintain BUY and our target price of W178,000.

Cosmax (second top pick) K-ODM partner for global brands

As the global cosmetics ODM leader, Cosmax directly benefits as new players enter the market. In Sep 2026, the company signed a joint development MOU with L'Oreal to develop products, ingredients, and formulations. Its 3Q26 revenue likely came to W815bn (+39% YoY) and OP W83bn. The Korean entity likely grew 47% YoY driven by orders for export products and overseas channels, while the US entity likely grew 71% YoY on repeat orders and new orders for indie and legacy brands. Relative to 2Q26 guidance, the growth outlook has been revised up from 35-40% to over 45% for Korea, and from over 40% to over 70% for the US. The US entity is entering a phase in which revenue expansion should translate into operating leverage. We estimate 2027 OP at W319bn (+16.9% YoY). We maintain BUY and our target price of W363,000.

Pumtech Korea (second top pick): responding to container demand through capacity addition

Demand for packaging grows as the number of market players increases. The company is Korea's leading manufacturer of cosmetics containers, with its market share expanding from 20.9% in 2020 to 24.5% in 2025. The customer base is also broadening from domestic indie brands to global MNCs, and its differentiated product development capabilities including grinders, sticks, and eco-friendly packaging support inflows of new customers. Following the completion of Plant 4 and phased

operation of Plant 6, the acquisition of Plant 7 is accelerating capacity expansion, with earnings contributions expected to begin from 4Q26.

The company likely beat market expectations in 3Q26 with revenue coming to W123bn (+26% YoY) and OP W23.1bn (+51% YoY). We estimate 2027 OP at W88bn (+16.6% YoY). We maintain BUY and our target price of W80,000.

APR (278470 KS)

FX headwinds temporary; growth intact

Seung-eun Lee
Cosmetics/Medical Device/Retail
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BUY (M)

Target price	W435,000 (Down)
Previous target price	W540,000
Current price (Oct 30)	W261,000
Upside potential	67%

Market cap (Wbn)	9,771
Shares outstanding	37,438,155
Avg daily T/O (2M, Wbn)	110
Avg daily volume (2M, shrs)	310,217
52-week high/low (won)	464,500 / 211,000
Foreign ownership (%)	38.67%
Dividend yield (%)	2.20%
Major shareholders	Byeong-hun Kim & others

Stock performance

(%)	1M	3M	12M
Absolute	(28.7)	(17.1)	3.0
Relative	(14.9)	(19.1)	(26.6)
Abs (US$)	(27.7)	(10.7)	10.1

3Q26 review: record revenue, but forex weighs on earnings

APR reported 3Q26 revenue of W773.1bn (+100% YoY) and OP of W160.6bn (+69% YoY; OPM 20.8%), with OP missing consensus of W181.4bn. Forex movements were the primary reason for the earnings miss. During 3Q26, the dollar and euro each depreciated 13% against the won, resulting in valuation losses on foreign-currency-denominated trade receivables. Following the company's early adoption of IFRS 18, these losses were reflected in OP, reducing OPM by 1.9%p. Lower revenue in won terms increased the cost burden, further reducing OPM by 1.7%p. These two factors combined weighed on OP by around W27.8bn and on OPM by 3.6%p. Since the 4Q26 cumulative average forex rate is lower than in 3Q26, forex burdens will likely persist for the time being. APR does not engage in separate forex hedging and plans to mitigate forex impacts by shortening its receivables collection cycle. Cosmetics/beauty revenue came to W682.3bn (+151% YoY). The top 10 SKUs accounted for 40% of sales, with top seller Zero Pore Pad accounting for less than 10%. Beauty device revenue came to just W84.7bn (-18% YoY) due to an absence of promotions. Overseas revenue came to W722.9bn (+135% YoY), accounting for 94% of total sales. In terms of costs, advertising expenses in 3Q26 stood at 20% of revenue, in line with the 1H26 average. Selling commissions were around 17% and freight logistics costs 9%. A tariff refund of W10bn was also recognized in 3Q26.

Maintains guidance; channel expansion, new biz to sustain growth

APR maintained its full-year revenue guidance of W3tn. Given forex pressure, the company plans to achieve its original absolute OP target (W730-750bn) through top-line expansion rather than focusing on OPM. In 4Q26, daily sales across US and European markets hit all-time highs during October Amazon Prime Big Deal Days. In North America, the company entered Ulta, Target, Walmart, Costco, and CVS. The online-to-offline mix came to 7:3, with the offline portion increasing QoQ. The mix stands at 6:4 in Europe, and the company is expanding shelf space within Boots and is in ongoing negotiations with new retailers. Among markets outside North America and Europe, Latin America accounts for the highest share of revenue and is posting triple-digit growth. Remaining tariff refunds stand below W10bn. The firm plans to launch its high-intensity focused ultrasound (HIFU)-based energy-based device (EBD) in Korea as early as late this year, while its RF-based EBD is targeted for launch in 2H27. Polynucleotide (PN)-based skin boosters began in-house production at APR Factory Campus 3 from July, and will be officially launched in Chile in November. The domestic launch is expected in early-2028.

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	723	1,527	3,059	4,700
OP	123	366	721	1,140
Net profit, CI	108	290	532	851
P/E (x)	19.8	19.8	18.4	11.5
P/B (x)	5.9	12.8	12.4	6.8
EV/EBITDA (x)	14.7	14.0	12.8	7.9
ROE (%)	41.3	75.3	86.4	76.3

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

APR: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26P	4Q26E	2026E
Sales	266	328	386	548	1,527	593	768	773	925	3,059
YoY (%)	*79*	*111*	*122*	*124*	*111*	*123*	*134*	*100*	*69*	*100*
QoQ (%)	*9*	*23*	*18*	*42*		*8*	*29*	*1*	*20*	
[Sales by business]										
Beauty device	91	90	103	123	407	133	112	85	110	439
Cosmetics/beauty	165	227	272	413	1,077	453	648	682	808	2,591
Others (clothing/instant photobooth)	10	11	11	12	43	8	7	6	7	29
[Sales growth by business (%)]										
Beauty device	*36*	*32*	*38*	*19*	*30*	*46*	*24*	*-18*	*-10*	*8*
Cosmetics/beauty	*152*	*217*	*220*	*255*	*218*	*174*	*186*	*151*	*96*	*141*
Others (clothing/instant photobooth)	*-40*	*-32*	*-28*	*-51*	*-40*	*-20*	*-31*	*-42*	*-42*	*-34*
[Sales by country]										
Korea	77	74	78	73	303	65	63	50	50	225
US	77	103	164	266	609	272	376	358	475	1,481
Japan	19	30	21	42	113	84	145	175	185	589
Greater China (CH/HK/TW)	78	106	104	136	424	136	121	115	150	522
Others	15	15	19	31	80	37	62	75	65	239
OP	**55**	**85**	**96**	**130**	**366**	**146**	**191**	**161**	**224**	**721**
OPM (%)	*21*	*26*	*25*	*24*	*24*	*25*	*25*	*21*	*24*	*24*

Note: early adoption of K-IFRS 1118 starting from FY2026, Source: company data, Yuanta Securities

APR: earnings forecast revision (Wbn, %, %p)

	Old			New			Difference		
	4Q26E	2026E	2027E	4Q26E	2026E	2027E	4Q26E	2026E	2027E
Sales	9,250	30,659	47,000	9,250	30,590	47,000	*0.0%*	*-0.2%*	*0.0%*
OP	2,400	7,721	12,000	2,242	7,210	11,400	*-6.6%*	*-6.6%*	*-5.0%*
OPM	*25.9%*	*25.2%*	*25.5%*	*24.2%*	*23.6%*	*24.3%*	*-1.7%p*	*-1.6%p*	*-1.3%p*

Source: Yuanta Securities

We maintain BUY on APR, but revise down our target price to W435,000. We revised down our earnings estimates, reflecting valuation losses on foreign currency trade receivables and lower revenue in won terms due to the sharp won appreciation in 3Q26. Forex pressure will likely persist for some time as the 4Q26 cumulative average forex rate is lower than 3Q26 and the company recognizes revenue based on the annual average exchange rate. We derived our target price by applying a P/E of 20.4x to 12-month-forward EPS. We revised down our target price due to external forex factors, and we believe growth drivers remain intact. APR maintained its full-year revenue guidance of W3tn. Moreover, mid- to long-term growth factors remain valid, including record-high daily revenue during October's Amazon Prime Big Deal Days, the expansion of offline channels in North America and Europe, and visible progress in new businesses including medical aesthetic devices and skin boosters. Shares currently trade at a 12-month-forward P/E of 12.2x, implying 66.7% upside to our target price. Given projected earnings growth of 60% in 2027, we believe the stock has a solid valuation appeal.

APR: P/E multiple for target price calculation

	2026E	2027E	Note
Net profit, CI (Wbn)	533	851	
Number of shares ('000)	37,440	37,440	Period-end common shares outstanding
EPS (won)	14,223	22,731	12-month-forward EPS
Fair P/E (x)	20	20	
Fair price (won)	284,469	454,616	**W435,000원**
Upside (%)	9	74	**66.7%**

Source: Yuanta Securities

APR (278470 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**723**	**1,527**	**3,059**	**4,700**	**6,200**
Cost of sales	179	357	678	1,035	1,340
Gross profit	544	1,171	2,381	3,665	4,860
SG&A	421	805	1,660	2,525	3,320
Operating profit	**123**	**366**	**721**	**1,140**	**1,540**
EBITDA	145	396	751	1,170	1,570
Non-operating profit	11	-1	-1	1	2
Forex gains	6	-4	0	-7	-8
Net interest income	2	0	2	6	16
Equity-method gains	0	0	0	0	0
Other	3	2	-3	2	-6
Net prof before income tax	133	364	720	1,141	1,542
Income tax	26	75	188	290	390
Net profit from continuing ops	108	290	532	851	1,152
Net profit from discontinued ops	0	0	0	0	0
Net profit	108	290	532	851	1,152
NP for controlling interest	**108**	**290**	**532**	**851**	**1,152**
Total comprehensive income	106	288	531	849	1,150
Total comprehensive income, CI	106	288	531	849	1,150

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**286**	**546**	**731**	**1,302**	**2,109**
Cash & cash equivalents	90	154	40	28	48
Accounts receivables & other	49	92	184	242	257
Inventory	110	165	331	509	672
Non-current assets	279	226	241	279	366
Tangible assets	51	60	57	75	143
Investment in affiliates	0	0	0	0	0
Other investment assets	62	45	64	85	105
Total assets	**565**	**772**	**972**	**1,581**	**2,475**
Current liabilities	145	238	150	110	60
Accounts payable & other	70	146	110	85	50
ST financial liabilities	0	0	0	0	0
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	96	88	36	26	11
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**242**	**326**	**186**	**136**	**71**
Equity, controlling interest	324	446	786	1,445	2,404
Paid-in capital	4	4	4	4	4
Capital surplus	137	13	13	13	13
Retained earnings	229	427	769	1,430	2,391
Equity, non-controlling interest	0	0	0	0	0
Total equity	**324**	**446**	**786**	**1,445**	**2,404**
Net debt	**-6**	**-178**	**-147**	**-486**	**-1,131**
Total debt	113	101	50	35	10

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**79**	**341**	**297**	**648**	**996**
Net profit	108	290	532	851	1,152
Depreciation & amortization	22	29	29	29	29
Forex gains	-5	-1	0	7	8
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-58	-32	-269	-242	-195
Other	14	56	4	3	2
Investing cash flow	**-110**	**-94**	**-78**	**-404**	**-717**
Investment	-45	-87	-20	-21	-19
Increase in tangible assets	-45	-15	-30	-50	-100
Decrease in tangible assets	0	0	4	3	2
Other	-19	8	-32	-336	-600
Financing cash flow	**-5**	**-182**	**-184**	**-147**	**-156**
ST financial liabilities	7	0	-3	-5	-10
Debenture/LT financial liabilities	83	-12	-48	-10	-15
Equity	76	-123	0	0	0
Cash dividend	0	-134	-191	-191	-191
Other cash flow	-170	88	58	59	59
Consolidation adj and other	0	-1	-150	-109	-103
Increase in cash & equivalents	**-35**	**64**	**-114**	**-12**	**20**
Beginning cash & equivalents	125	90	154	40	28
Ending cash & equivalents	90	154	40	28	48
NOPLAT	123	366	**721**	**1,140**	**1,540**
FCF	**34**	**326**	**267**	**598**	**896**

Valuation

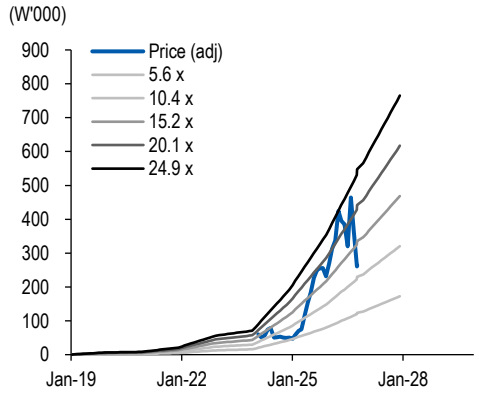
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	2,842	7,704	14,223	22,731	30,757
BPS (won)	9,599	11,910	20,997	38,594	64,217
EBITDA/shr (won)	3,836	10,527	20,068	31,259	41,943
SPS (won)	19,092	40,623	81,710	125,540	165,606
DPS (won)	0	5,090	5,090	5,090	5,090
P/E (x)	**19.8**	**19.8**	**18.4**	**11.5**	**8.5**
P/B (x)	**5.9**	**12.8**	**12.4**	**6.8**	**4.1**
EV/EBITDA (x)	**14.7**	**14.0**	**12.8**	**7.9**	**5.5**
P/S (x)	**2.9**	**3.7**	**3.2**	**2.1**	**1.6**

Key financial data

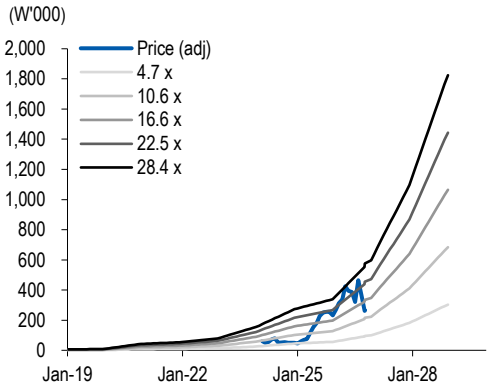
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**38.0**	**111.3**	**100.3**	**53.6**	**31.9**
Operating profit (%YoY)	**17.8**	**197.9**	**97.3**	**58.1**	**35.1**
Net profit, CI (%YoY)	**31.9**	**169.2**	**83.8**	**59.8**	**35.3**
Gross margin (%)	75.2	76.6	77.8	78.0	78.4
Operating margin (%)	**17.0**	**23.9**	**23.6**	**24.3**	**24.8**
Net margin, CI (%)	14.9	19.0	17.4	18.1	18.6
EBITDA margin (%)	20.1	25.9	24.6	24.9	25.3
ROIC (%)	137.0	261.4	181.9	137.9	126.0
ROA (%)	25.2	43.3	61.1	66.7	56.8
ROE (%)	**41.3**	**75.3**	**86.4**	**76.3**	**59.8**
Debt-to-equity (%)	74.7	73.1	23.7	9.4	2.9
Net debt-to-equity (%)	-1.8	-39.9	-18.6	-33.6	-47.0
OP/financing cost (x)	32.6	103.7	289.9	813.7	2,076.3

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

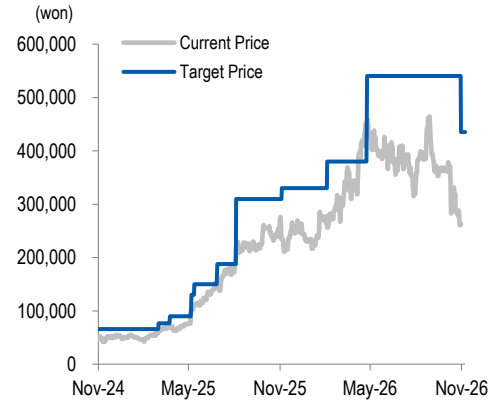
P/E band chart



P/B band chart



APR (278470 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/03	BUY	435,000	1 yr		
2026/11/02	BUY	435,000	1 yr		
2026/04/27	BUY	540,000	1 yr	-30.13	-13.98
2026/02/06	BUY	380,000	1 yr	-11.31	18.42
2025/11/07	BUY	330,000	1 yr	-25.77	-13.33
2025/08/07	BUY	310,000	1 yr	-25.14	-10.97
2025/06/30	BUY	188,000	1 yr	-9.67	10.90
2025/05/15	BUY	150,000	1 yr	-15.25	1.07
2025/05/09	BUY	130,000	1 yr	-17.69	-15.85
2024/10/10	BUY	66,000	1 yr	-22.42	-8.94

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026 Excluding reports written or published by overseas affiliates

Amorepacific (090430 KS)

Dermocosmetics and Europe broaden growth base

Seung-eun Lee
Cosmetics/Medical Device/Retail
seungeun.lee@yuantakorea.com

BUY (M)

Target price	W178,000 (M)
Previous target price	W178,000
Current price (Oct 30)	W129,100
Upside potential	38%

Market cap (Wbn)	7,551
Shares outstanding	69,050,589
Avg daily T/O (2M, Wbn)	32
Avg daily volume (2M, shrs)	232,171
52-week high/low (won)	165,100 / 96,200
Foreign ownership (%)	26.20%
Dividend yield (%)	1.04%
Major shareholders	AmoreG & others

Stock performance

(%)	1M	3M	12M
Absolute	(6.7)	(3.7)	6.1
Relative	11.3	(6.0)	(24.3)
Abs (US$)	(5.4)	3.8	13.4

3Q26 review: sales and profitability improve, but forex translation losses weigh on net profit

Amorepacific reported 3Q26 sales of W1,129.5bn (+11% YoY) and OP of W115.2bn (+25% YoY), with OP in line with market consensus of W116.4bn. Domestic sales rose by 11.5% YoY to W620.5bn, with growth across all channels except standalone stores. In particular, duty-free and cross-border sales grew 17% on stronger inbound tourist demand, driving substantial operating leverage. Domestic OP came to W84.6bn (+42% YoY; OPM 13.6%). Overseas sales rose 12.4% YoY to W495.5bn. In the Americas (+16.9%), Aestura, Innisfree, and COSRX drove growth despite weakness at Laneige. Other Asia (+19.6%) continued to deliver strong growth, led by Japan, India, and Indonesia. Gross margin expanded by 0.9%p YoY on reduced discounting and a better brand mix. Despite a 12% increase in advertising and promotion expenses from digital marketing investment, SG&A-to-sales ratio improved through efficiencies in other expenses. However, forex translation losses stemming from won appreciation during the quarter resulted in a non-operating loss of W44.2bn, reducing net profit to W58.5bn (-14% YoY).

Dermocosmetics and Europe to drive next phase of growth

We maintain BUY and our target price of W178,000. The company guided for 4Q26 consolidated sales growth of 10% YoY and OPM of 10%. A lower average exchange rate in 4Q26 poses a headwind to overseas sales growth in won terms. Nevertheless, positives include the continued improvement in profitability in high-margin domestic channels thanks to an increased in inbound tourists, strong performance of dermocosmetics brands during Amazon's Prime Big Deal Days in October, and an expected turnaround in the China business in 4Q26. European channel expansion is also taking shape, including Sulwhasoo's launch at Harrods in the UK, the entry of Laneige, Innisfree, and Aestura onto Amazon UK, and plans to enter major physical retailers next year. These initiatives are diversifying growth beyond a limited number of brands and channels. With dermocosmetics rising to a mid-20% share of total revenue and reliance on Laneige in North America declining, we see improving visibility on achieving the company's BY27 (Jul 1, 2026–Jun 30, 2027) targets of 10% sales growth and an OPM of 11-12%.

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	3,885	4,253	4,734	5,190
OP	220	336	484	557
Net profit, CI	593	236	314	407
P/E (x)	13.8	32.3	25.1	19.2
P/B (x)	1.8	1.6	1.6	1.5
EV/EBITDA (x)	17.1	11.5	9.7	8.6
ROE (%)	11.7	4.4	5.6	6.9

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Amorepacific: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26P	4Q26E	2026E
Sales	1,067.5	1,005.0	1,016.9	1,163.4	4,252.8	1,135.8	1,175.9	1,129.5	1,293.0	4,734.2
Korea	577.3	553.6	556.6	587.6	2,275.2	626.4	610.8	620.5	640.0	2,497.7
Overseas & export	469.6	432.4	440.8	566.2	1,909.1	497.1	551.6	495.5	638.0	2,182.2
North America	157.2	134.4	156.8	182.6	631.0	174.7	210.4	183.2	230.0	798.3
EMEA	55.3	44.1	52.7	88.9	241.0	64.4	72.0	57.9	100.0	294.3
China	132.8	132.7	106.0	141.0	512.4	114.9	124.5	104.4	133.0	476.8
Other Asia	124.4	121.3	125.4	153.7	524.7	143.1	144.7	149.9	175.0	612.7
Sales growth (% YoY)	17	11	4	7	9	6	17	11	11	11
Korea	2	8	4	7	5	9	10	11	9	10
Overseas & export	40	13	3	8	15	6	28	12	13	14
North America	79	10	7	8	20	11	57	17	26	27
EMEA	220	18	-3	45	42	16	63	10	12	22
China	-10	23	9	-10	0	-13	-6	-2	-6	-7
Other Asia	53	6	-3	10	14	15	19	20	14	17
OP	117.7	73.7	91.9	52.5	335.8	126.7	117.3	115.2	125.0	484.2
Korea	49.4	40.2	59.4	49.5	198.5	81.5	59.6	84.6	75.0	300.7
Overseas & export	69.6	36.0	42.7	61.7	210.0	56.7	71.8	48.5	68.0	245.0
OPM	11	7.3	9	4.5	7.9	11.2	10	10.2	9.7	10.2
Korea	8.6	7.3	10.7	8.4	8.7	13	9.8	13.6	11.7	12
Overseas & export	14.8	8.3	9.7	10.9	11.0	11.4	13.0	9.8	10.7	11.2

Source: company data, Yuanta Securities

Amorepacific: earnings estimate revision (Wbn)

	Old			New			Difference		
	4Q26E	2026E	2027E	4Q26E	2026E	2027E	4Q26E	2026E	2027E
Sales	1,282.0	4,738.7	5,150.0	1,293.0	4,734.2	5,190.0	*0.9%*	*-0.1%*	*0.8%*
OP	129.0	496.0	557.0	125.0	484.2	557.0	*-3.1%*	*-2.4%*	*0.0%*
OPM (%)	*10.1%*	*10.5%*	*10.8%*	*9.7%*	*10.2%*	*10.7%*	*-0.4%p*	*-0.3%p*	*-0.1%p*

Source: Yuanta Securities

Amorepacific (090430 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**3,885**	**4,253**	**4,734**	**5,190**	**5,490**
Cost of sales	1,138	1,177	1,255	1,360	1,430
Gross profit	2,747	3,076	3,479	3,830	4,060
SG&A	2,526	2,740	2,995	3,273	3,456
Operating profit	**220**	**336**	**484**	**557**	**604**
EBITDA	478	604	752	825	872
Non-operating profit	400	8	-51	3	16
Forex gains	27	-4	-55	-24	-11
Net interest income	-16	-9	-1	5	11
Equity-method gains	16	-1	3	0	0
Other	373	22	3	22	16
Net prof before income tax	621	344	434	560	620
Income tax	19	97	99	130	150
Net profit from continuing ops	602	247	335	430	470
Net profit from discontinued ops	0	0	0	0	0
Net profit	602	247	335	430	470
NP for controlling interest	**593**	**236**	**314**	**407**	**445**
Total comprehensive income	600	269	357	452	492
Total comprehensive income, CI	593	257	341	432	470

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**1,735**	**2,004**	**2,020**	**2,212**	**2,317**
Cash & cash equivalents	452	525	428	513	541
Accounts receivables & other	418	390	434	475	503
Inventory	498	480	534	586	620
Non-current assets	5,049	4,957	4,880	4,811	4,740
Tangible assets	2,296	2,225	2,076	1,946	1,825
Investment in affiliates	6	6	6	7	7
Other investment assets	68	60	132	192	242
Total assets	**6,784**	**6,961**	**6,900**	**7,023**	**7,057**
Current liabilities	1,096	1,121	746	576	376
Accounts payable & other	530	610	420	380	350
ST financial liabilities	306	256	156	56	6
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	362	337	379	306	134
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**1,457**	**1,458**	**1,126**	**882**	**510**
Equity, controlling interest	5,252	5,449	5,700	6,043	6,424
Paid-in capital	35	35	35	35	35
Capital surplus	623	633	633	633	633
Retained earnings	4,601	4,775	5,003	5,325	5,684
Equity, non-controlling interest	74	54	75	98	123
Total equity	**5,326**	**5,503**	**5,775**	**6,141**	**6,547**
Net debt	**-335**	**-745**	**-758**	**-967**	**-1,088**
Total debt	440	350	251	136	56

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**335**	**584**	**607**	**688**	**746**
Net profit	602	247	335	430	470
Depreciation & amortization	257	268	268	268	268
Forex gains	-14	-2	55	24	11
Affiliate investment gains	0	0	-3	0	0
Increase in net working cap	-164	13	-130	-115	-84
Other	-346	58	81	81	81
Investing cash flow	**-312**	**-295**	**-197**	**-204**	**-206**
Investment	265	-204	-72	-61	-50
Increase in tangible assets	-81	-65	-120	-140	-150
Decrease in tangible assets	1	1	1	2	3
Other	-497	-28	-6	-5	-9
Financing cash flow	**-99**	**-222**	**-239**	**-255**	**-220**
ST financial liabilities	68	-63	-108	-110	-70
Debenture/LT financial liabilities	22	-27	10	-5	-10
Equity	-171	10	0	0	0
Cash dividend	-63	-92	-86	-86	-86
Other cash flow	45	-50	-55	-55	-55
Consolidation adj and other	22	7	-267	-143	-291
Increase in cash & equivalents	**-55**	**73**	**-96**	**85**	**28**
Beginning cash & equivalents	506	452	525	428	513
Ending cash & equivalents	452	525	428	513	541
NOPLAT	220	336	**484**	**557**	**604**
FCF	**254**	**519**	**487**	**548**	**596**

Valuation

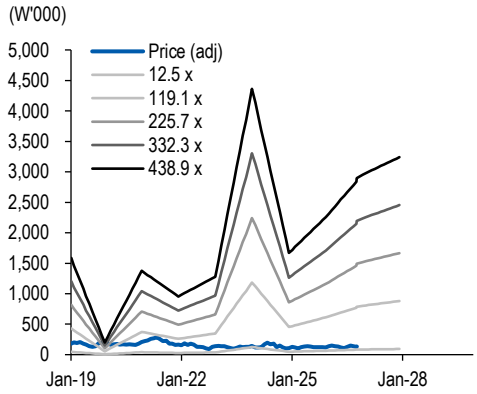
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	9,937	3,805	5,143	6,733	7,383
BPS (won)	76,149	78,989	82,649	87,626	93,154
EBITDA/shr (won)	6,921	8,746	10,896	11,949	12,629
SPS (won)	56,265	61,590	68,561	75,162	79,507
DPS (won)	1,125	1,240	1,240	1,240	1,240
P/E (x)	**13.8**	**32.3**	**25.1**	**19.2**	**17.5**
P/B (x)	**1.8**	**1.6**	**1.6**	**1.5**	**1.4**
EV/EBITDA (x)	**17.1**	**11.5**	**9.7**	**8.6**	**8.0**
P/S (x)	**2.4**	**2.0**	**1.9**	**1.7**	**1.6**

Key financial data

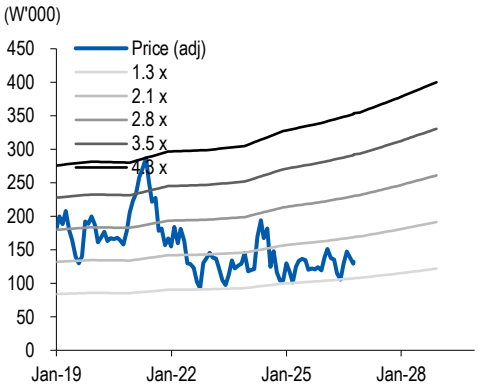
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**5.7**	**9.5**	**11.3**	**9.6**	**5.8**
Operating profit (%YoY)	**103.8**	**52.3**	**44.2**	**15.0**	**8.4**
Net profit, CI (%YoY)	**229.4**	**-60.3**	**33.2**	**29.6**	**9.3**
Gross margin (%)	70.7	72.3	73.5	73.8	74.0
Operating margin (%)	**5.7**	**7.9**	**10.2**	**10.7**	**11.0**
Net margin, CI (%)	15.3	5.5	6.6	7.8	8.1
EBITDA margin (%)	12.3	14.2	15.9	15.9	15.9
ROIC (%)	5.8	5.8	9.7	8.3	7.1
ROA (%)	9.4	3.4	4.5	5.8	6.3
ROE (%)	**11.7**	**4.4**	**5.6**	**6.9**	**7.1**
Debt-to-equity (%)	27.4	26.5	19.5	14.4	7.8
Net debt-to-equity (%)	-6.4	-13.7	-13.3	-16.0	-16.9
OP/financing cost (x)	7.8	15.0	28.3	50.6	110.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

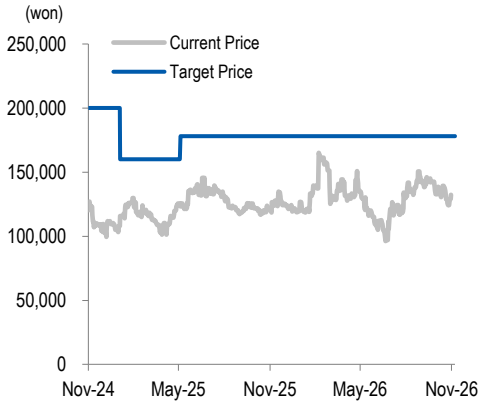
P/E band chart



P/B band chart



Amorepacific (090430 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	178,000	1 yr		
2026/05/07	After 1yr		1 yr	-28.67	-15.39
2025/05/07	BUY	178,000	1 yr	-27.04	-7.25
2025/01/06	BUY	160,000	1 yr	-27.75	-18.94
2024/05/07	BUY	200,000	1 yr	-29.48	-2.90

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026 Excluding reports written or published by overseas affiliates

Cosmax (192820 KS)

Earnings surprise expected on accelerated domestic and overseas growth

Seung-eun Lee
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seungeun.lee@yuantakorea.com

BUY (M)

Target price	W363,000 (M)
Previous target price	W363,000
Current price (Oct 30)	W247,000
Upside potential	47%

Market cap (Wbn)	2,803
Shares outstanding	11,349,509
Avg daily T/O (2M, Wbn)	34
Avg daily volume (2M, shrs)	128,968
52-week high/low (won)	308,500 / 144,900
Foreign ownership (%)	34.37%
Dividend yield (%)	2.02%
Major shareholders	COSMAX BTI & others

Stock performance

(%)	1M	3M	12M
Absolute	(7.5)	32.9	22.3
Relative	10.4	29.7	(12.8)
Abs (US$)	(6.2)	43.1	30.7

Strong Korean and US order momentum to persist

In 3Q26, Cosmax likely posted consolidated revenue of W815bn (+39% YoY) and OP of W83bn. Korean subsidiary revenue likely grew 47% YoY. Despite fewer working days due to summer vacations and the Chuseok holiday, the firm saw steady orders for products destined for export and overseas distribution channels. Growth among skincare clients accelerated compared to 1H26, and the previously sluggish makeup segment, likely rebounded thanks to new product releases at major clients and the impact of promotions. The US entity likely posted strong revenue growth of 71% YoY. Reorders and new orders are continuing from both indie and legacy clients. As development requests and adoptions of skincare items including creams, essences, masks, and sun care increase, we believe both top-line and OP increased QoQ.

We estimate the Chinese entity's revenue growth at 21% YoY on a consolidated basis. We forecast growth at 32% YoY for the Shanghai subsidiary on expanding orders from major makeup clients and 21% for the Guangzhou subsidiary supported by solid demand in offline and export channels. In Southeast Asia, revenue likely grew 20% YoY in Indonesia and 25% in Thailand.

Maintain BUY and TP of W363,000, correction offers buying opportunity

We maintain BUY and our target price of W363,000. Compared to the 2Q26 conference call guidance, growth rate projections have been raised for Korea from 35-40% to 45%, and for the US from over 40% to over 70%. Strong orders in Korea and the US are likely driving top-line growth, and we believe the company has entered a phase where expanding revenue at the US entity is translating into earnings leverage.

Shares rose to a 52-week high of W308,500 on expectations for earnings in early October, but retreated to W247,000 recently due to profit-taking and valuation concerns. However, earnings estimates have continued to climb, with the gap between the share price and fundamentals widening. We believe the current share price offers an attractive level to expand exposure ahead of the earnings release given that: 1) the firm has the strongest 3Q26 revenue growth among the top three ODMs; 2) quarterly revenue will likely surpass 2Q26 despite weak seasonality; and 3) overseas entities including the US and China are enjoying a simultaneous recovery.

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	2,166	2,399	3,039	3,440
OP	175	196	273	319
Net profit, CI	86	123	191	219
P/E (x)	18.3	18.1	14.7	12.8
P/B (x)	3.3	4.0	3.9	3.1
EV/EBITDA (x)	9.3	11.5	10.4	8.9
ROE (%)	20.5	23.9	30.0	27.1

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Cosmax: earnings forecast (Wbn)

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	4Q26E	2026E
Revenue	**589**	**624**	**586**	**601**	**2,399**	**682**	**795**	**815**	**747**	**3,039**
Cosmax (separate)	363	421	384	360	1,527	423	518	565	470	1,977
Cosmax East	163	149	140	181	633	195	197	170	210	772
Shanghai	109	109	91	117	425	135	145	120	157	557
Guangzhou	49	41	46	53	188	56	49	55	55	215
Cosmax West	29	30	37	37	133	42	54	63	50	209
Cosmax Indonesia	30	21	22	26	98	23	29	28	30	110
Cosmax Thailand	24	23	15	11	73	24	25	19	16	84
YoY (%)	*12*	*13*	*11*	*8*	*11*	*16*	*27*	*39*	*24*	*27*
Cosmax (separate)	*15*	*21*	*10*	*4*	*12*	*17*	*23*	*47*	*31*	*29*
Cosmax East	*3*	*1*	*22*	*17*	*10*	*20*	*33*	*21*	*16*	*22*
Shanghai	*1*	*11*	*26*	*23*	*14*	*24*	*33*	*32*	*34*	*31*
Guangzhou	*4*	*-17*	*15*	*9*	*2*	*15*	*19*	*21*	*4*	*14*
Cosmax West	*-26*	*-17*	*14*	*24*	*-3*	*46*	*79*	*71*	*35*	*57*
Cosmax Indonesia	*23*	*-18*	*-33*	*-18*	*-14*	*-23*	*38*	*30*	*17*	*12*
Cosmax (separate)	*152*	*124*	*37*	*-12*	*69*	*2*	*8*	*25*	*44*	*15*
OP	**51**	**61**	**43**	**41**	**196**	**53**	**74**	**83**	**63**	**273**
Cosmax (separate)	34	50	34	36	155	38	56	63	47	204
Overseas and others	17	11	8	5	41	15	17	20	16	68
OPM (%)	*9*	*10*	*7*	*7*	*8*	*8*	*9*	*10*	*8*	*9*
Cosmax (separate)	*9*	*12*	*9*	*10*	*10*	*9*	*11*	*11*	*10*	*10*

Source: company data, Yuanta Securities

Cosmax (192820 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**2,166**	**2,399**	**3,039**	**3,440**	**3,800**
Cost of sales	1,748	1,990	2,505	2,819	3,106
Gross profit	418	409	534	621	694
SG&A	243	213	261	302	332
Operating profit	**175**	**196**	**273**	**319**	**362**
EBITDA	244	270	349	398	445
Non-operating profit	-38	-39	-18	-24	-27
Forex gains	16	-7	-15	-30	-30
Net interest income	-38	-40	-43	-41	-38
Equity-method gains	0	0	0	0	0
Other	-15	9	40	47	41
Net prof before income tax	138	157	255	295	335
Income tax	49	25	56	67	77
Net profit from continuing ops	88	131	199	228	258
Net profit from discontinued ops	0	0	0	0	0
Net profit	88	131	199	228	258
NP for controlling interest	**86**	**123**	**191**	**219**	**248**
Total comprehensive income	120	134	202	231	261
Total comprehensive income, CI	117	126	191	218	246

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**943**	**975**	**1,236**	**1,454**	**1,714**
Cash & cash equivalents	256	192	252	343	491
Accounts receivables & other	357	436	552	625	690
Inventory	257	271	343	388	429
Non-current assets	991	1,150	1,190	1,233	1,281
Tangible assets	778	926	959	999	1,043
Investment in affiliates	1	1	1	1	2
Other investment assets	55	52	62	69	75
Total assets	**1,934**	**2,125**	**2,427**	**2,687**	**2,995**
Current liabilities	1,114	1,201	1,336	1,410	1,503
Accounts payable & other	285	317	401	454	502
ST financial liabilities	464	499	469	439	439
Liquid LT liabilities	45	84	84	84	84
Non-current liabilities	311	312	313	307	299
LT financial liabilities	149	175	155	135	115
Debentures	39	20	20	20	20
Total liabilities	**1,425**	**1,513**	**1,650**	**1,717**	**1,802**
Equity, controlling interest	473	558	715	899	1,112
Paid-in capital	6	6	6	6	6
Capital surplus	28	13	13	13	13
Retained earnings	384	483	637	819	1,029
Equity, non-controlling interest	35	54	62	71	81
Total equity	**509**	**612**	**777**	**970**	**1,194**
Net debt	**673**	**818**	**768**	**664**	**531**
Total debt	968	1,044	1,056	1,044	1,059

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**73**	**87**	**136**	**226**	**267**
Net profit	88	131	199	228	258
Depreciation & amortization	64	69	72	76	80
Forex gains	-13	3	15	30	30
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-127	-87	-156	-113	-106
Other	61	-30	6	5	5
Investing cash flow	**-160**	**-179**	**-117**	**-122**	**-131**
Investment	-5	2	-11	-7	-6
Increase in tangible assets	-165	-187	-110	-120	-130
Decrease in tangible assets	4	4	4	5	5
Other	6	1	0	0	0
Financing cash flow	**68**	**28**	**-31**	**-54**	**-28**
ST financial liabilities	159	36	32	9	35
Debenture/LT financial liabilities	97	39	-20	-20	-20
Equity	0	-16	0	0	0
Cash dividend	-6	-26	-37	-37	-37
Other cash flow	-183	-6	-6	-6	-6
Consolidation adj and other	19	0	72	42	39
Increase in cash & equivalents	**-1**	**-64**	**60**	**92**	**147**
Beginning cash & equivalents	257	256	192	252	343
Ending cash & equivalents	256	192	252	343	491
NOPLAT	175	196	**273**	**319**	**362**
FCF	**-92**	**-100**	**26**	**106**	**137**

Valuation

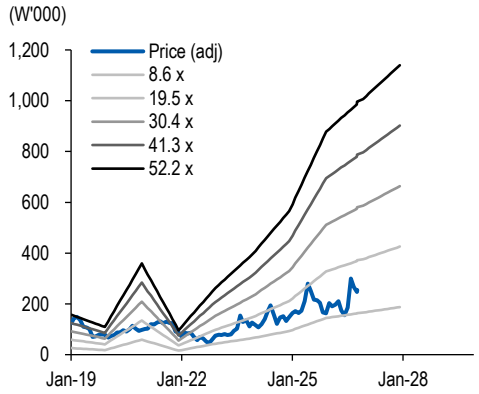
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	7,560	10,843	16,828	19,296	21,851
BPS (won)	41,725	49,196	62,980	79,234	98,044
EBITDA/shr (won)	21,517	23,785	30,772	35,104	39,213
SPS (won)	190,853	211,353	267,766	303,097	334,816
DPS (won)	2,300	3,300	3,300	3,300	3,300
P/E (x)	**18.3**	**18.1**	**14.7**	**12.8**	**11.3**
P/B (x)	**3.3**	**4.0**	**3.9**	**3.1**	**2.5**
EV/EBITDA (x)	**9.3**	**11.5**	**10.4**	**8.9**	**7.7**
P/S (x)	**0.7**	**0.9**	**0.9**	**0.8**	**0.7**

Key financial data

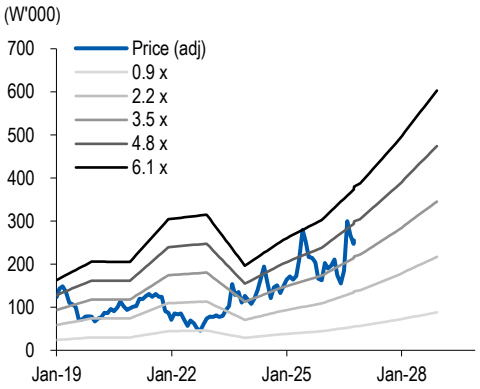
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**21.9**	**10.7**	**26.7**	**13.2**	**10.5**
Operating profit (%YoY)	**51.6**	**11.6**	**39.3**	**16.9**	**13.5**
Net profit, CI (%YoY)	**50.2**	**43.4**	**55.2**	**14.7**	**13.2**
Gross margin (%)	19.3	17.1	17.6	18.1	18.3
Operating margin (%)	**8.1**	**8.2**	**9.0**	**9.3**	**9.5**
Net margin, CI (%)	4.0	5.1	6.3	6.4	6.5
EBITDA margin (%)	11.3	11.3	11.5	11.6	11.7
ROIC (%)	12.4	13.3	15.1	16.2	17.2
ROA (%)	4.9	6.1	8.4	8.6	8.7
ROE (%)	**20.5**	**23.9**	**30.0**	**27.1**	**24.7**
Debt-to-equity (%)	280.0	247.1	212.4	177.0	151.0
Net debt-to-equity (%)	142.2	146.5	107.5	73.9	47.7
OP/financing cost (x)	3.9	4.2	5.6	6.5	7.4

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

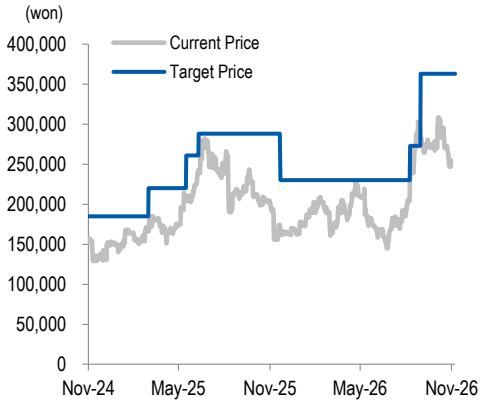
P/E band chart



P/B band chart



Cosmax (192820 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/03	BUY	363,000	1 yr		
2026/09/02	BUY	363,000	1 yr		
2026/08/12	BUY	273,000	1 yr	0.00	10.99
2025/11/24	BUY	230,000	1 yr	-20.65	-1.30
2025/06/13	BUY	288,000	1 yr	-22.40	-2.08
2025/05/19	BUY	261,000	1 yr	-16.98	-7.09
2025/03/04	BUY	220,000	1 yr	-19.87	-2.73
2024/10/30	BUY	185,000	1 yr	-19.05	-7.41

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026 Excluding reports written or published by overseas affiliates

Pumtech Korea (251970 KS)

Capacity expansion and broader global customer base spur growth

Seung-eun Lee
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BUY (M)

Target price	W80,000 (M)
Previous target price	W80,000
Current price (Oct 30)	W64,200
Upside potential	25%

Market cap (Wbn)	796
Shares outstanding	12,400,000
Avg daily T/O (2M, Wbn)	6
Avg daily volume (2M, shrs)	106,579
52-week high/low (won)	71,800 / 32,550
Foreign ownership (%)	13.29%
Dividend yield (%)	0.86%
Major shareholders	Do-hun Lee & others

Stock performance

(%)	1M	3M	12M
Absolute	4.7	38.4	19.8
Relative	23.7	23.2	47.3
Abs (US$)	6.2	49.1	28.1

Maintain BUY and target price of W80,000

We maintain BUY and our target price of W80,000. Since we initiated coverage, the share price has recovered from the low-W60,000 range in early October to around W70,000 recently, reflecting successive upward revisions to analysts' earnings estimates ahead of 3Q26 results. While the recent rebound has somewhat reduced upside potential, we maintain our positive view, as capacity expansions are set to make a meaningful earnings contribution from 4Q26.

We maintain our 3Q26 forecasts of W123.0bn (+26% YoY) for sales and W23.1bn (+51% YoY) for OP, with earnings expected to exceed even the recently raised market expectations. Orders from indie brands have remained strong even after the peak season, likely limiting the impact of the seasonal slowdown in 3Q26. Earnings at subsidiary Bukuk TNC, which has substantial exposure to sun care products, is expected to decline from W30.1bn in 2Q26 to W26.0bn on seasonality. However, we expect capacity additions and growth in the pump segment to more than offset this decline.

Investment highlights: capacity additions start to contribute; customers and products diversify

Capacity expansion is accelerating with the completion of Plant 4, the phased ramp-up of Plant 6, and the acquisition of Plant 7. With utilization remaining high, additional injection molding and assembly capacity should allow orders delayed by supply constraints, along with new orders, to translate progressively into sales.

After becoming Korea's largest cosmetics packaging manufacturer in 2023, the company has continued to strengthen its position, with its market share rising from 20.9% in 2020 to 24.5% in 2025.

The firm's customer base is also expanding beyond domestic indie brands to global multinationals. Shipments of new products and repeat orders from global customers are broadening Pumtech's order portfolio, while the firm's differentiated product development capabilities, including grinder-type, stick-type, and eco-friendly packaging, are helping attract new customers.

Pumtech's proprietary "free molds" reduce upfront costs and development lead times for customers. Using the same mold across multiple customers also improves the efficiency of the company's development spending. As repeat orders accumulate, sales generated from existing molds expand. We estimate that free-mold products will account for 77% of sales in 2026.

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	337	372	467	523
OP	48	57	76	88
Net profit, CI	33	34	51	60
P/E (x)	12.7	19.8	15.6	13.3
P/B (x)	1.6	2.3	2.3	2.0
EV/EBITDA (x)	6.1	9.1	8.6	7.5
ROE (%)	13.0	12.3	16.1	16.3

Note: CI = controlling interest; Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Pumtech Korea earnings and forecasts (Wbn, %)

	1Q25	2Q25	3Q25	4Q25	2025	1Q26	2Q26	3Q26E	4Q26E	2026E
Revenue	**91.7**	**105.4**	**97.7**	**77.1**	**372.0**	**91.8**	**116.8**	**123.0**	**135.0**	**466.6**
Pumtech Korea (pump business)	69.6	79.0	74.9	57.4	280.9	68.1	88.1	97.6	113.1	366.9
Bukuk T&C (tube business)	21.0	26.2	21.8	19.0	88.0	24.0	30.1	26.0	23.0	103.1
Jallon Natural (health functional foods)	2.3	1.9	2.0	1.5	7.7	1.1	0.8	0.6	0.5	3.0
Consolidation adjustments	−1.2	−1.7	−1.0	−0.7	−4.6	−1.4	−2.2	−1.2	−1.6	−6.4
Revenue growth (% YoY)	*19*	*23*	*15*	*-14*	*10*	*0*	*11*	*26*	*75*	*25*
Pump business (% YoY)	*22*	*26*	*16*	*-17*	*11*	*-2*	*12*	*30*	*97*	*31*
Tube business (% YoY)	*17*	*23*	*13*	*-3*	*13*	*14*	*15*	*19*	*21*	*17*
Health functional foods (% YoY)	*-5*	*-25*	*-17*	*-31*	*-19*	*-52*	*-57*	*-70*	*-66*	*-60*
OP	**13.4**	**19.4**	**15.3**	**8.3**	**56.5**	**13.0**	**21.7**	**23.1**	**17.8**	**75.5**
Growth (% YoY)	*31*	*53*	*23*	*-36*	*17*	*-3*	*11*	*51*	*114*	*34*
OPM (%)	*15*	*18*	*16*	*11*	*15*	*14*	*19*	*19*	*13*	*16*
Pumtech Korea (pump business)	113	146	115	63	437	93	154	174	143	564
Bukuk T&C (tube business)	25	49	40	28	143	42	71	65	45	223
Jallon Natural (health functional foods)	-3	0	-1	-7	-11	-6	-8	-8	-10	-32
Consolidation adjustments	-1	-1	-1	-1	-3	0	0	0	0	0

Source: company data, Yuanta Securities

Pumtech Korea: production facilities, capacity, output, and utilization

Plant 1: compact & dropper assembly lines, pump container assembly lines
Plant 2: pump engine & mist assembly lines; injection molding lines
Plant 3: pump-tube & stick assembly lines
Plant 4 (new): post-processing lines (printing/metallization/coating); stick assembly lines; injection molding lines; cleanroom
Plant 5: labeling lines; warehouse
Plant 6 (new): scheduled for completion in 2H26



	2024	2025	2026E
Capacity	652mn units	768mn units	828mn units
Output	531mn units	627mn units	690mn units
Utilization	*81.4%*	*81.6%*	*83.3%*

Note: 2026E capacity and output figures annualize 1H26 figures (2x) without factoring in new plant expansion, and utilization calculated based on these figures
Source: company data, DART, Yuanta Securities

Pumtech Korea: production facilities

Facility	Land	Building area	Investment	Note (as of Jun 30, 2026)
Plant 1 /	6,796m^2	16,543.73m^2	Undisclosed	In operation
Plant 2	3,140m^2	10,607m^2	Land: W10.4bn; building: W8.0bn; machinery: W3.7bn; other: W1.3bn;	In operation since Nov 2019
Plant 3	1,918m^2	5,517.77m^2	Undisclosed	Land and building sold to a related party for W11.183bn on May 6, 2026; subsequently leased back and removed from the list of branches
Plant 4	5,384m^2	18,625m^2	Land: W25.4bn; building: W19.7bn;	Completed in Nov 2025; 100% complete
Plant 5	1,726m^2	4,961.63m^2	W8.7bn	Acquisition completed in Sep 2023; 100% complete
Plant 6	2,994m^2	9,370m^2	Land: W14.6bn; building: W9.4bn; total: W24.0bn	54% complete as of end-Jun 2026; completion scheduled for Oct 2026
Plant 7	3,617m^2	Undisclosed	Land: W19.6bn; construction and equipment costs: undisclosed	W1.9bn spent to date; 10% complete

Source: DART, Yuanta Securities

Sales of major Korean cosmetics packaging manufacturers **(Wbn)**

		2020		2021		2022		2023		2024		2025	
	Company	Sales	Share	Sales	Share	Sales	Share	Sales	Share	Sales	Share	Sales	Share
1	Pumtech	195.2	20.9%	207.0	20.2%	219.6	21.6%	267.9	23.9%	318.5	23.1%	351.6	24.5%
2	Yonwoo	245.7	26.3%	279.7	27.3%	222.9	21.9%	227.8	20.3%	261.5	18.9%	240.0	16.7%
3	Samhwa	90.2	9.7%	105.0	10.3%	135.0	13.3%	151.4	13.5%	189.2	13.7%	172.5	12.0%
4	Cocos Pack	20.0	2.1%	20.4	2.0%	37.4	3.7%	45.9	4.1%	98.2	7.1%	138.2	9.6%
5	Darin	63.5	6.8%	73.6	7.2%	63.4	6.2%	55.2	4.9%	71.8	5.2%	83.5	5.8%
6	TAP Korea	49.6	5.3%	41.1	4.0%	52.5	5.2%	51.0	4.6%	64.1	4.6%	76.0	5.3%
7	Changshin	23.9	2.6%	37.0	3.6%	35.4	3.5%	48.1	4.3%	74.1	5.4%	75.0	5.2%
8	Jangup	33.0	3.5%	43.2	4.2%	35.2	3.5%	50.9	4.5%	70.0	5.1%	74.4	5.2%
9	Taesung	54.8	5.9%	49.9	4.9%	50.9	5.0%	56.9	5.1%	58.6	4.2%	55.2	3.9%
10	Toly Korea	56.0	6.0%	50.0	4.9%	56.0	5.5%	47.1	4.2%	51.0	3.7%	54.6	3.8%
11	IPACK	44.5	4.8%	43.4	4.2%	37.3	3.7%	48.1	4.3%	46.6	3.4%	47.0	3.3%
12	Duco	21.4	2.3%	23.0	2.3%	27.3	2.7%	32.3	2.9%	41.4	3.0%	37.2	2.6%
13	KR	10.3	1.1%	18.3	1.8%	19.6	1.9%	19.5	1.7%	18.1	1.3%	22.0	1.5%
14	Hana	25.5	2.7%	31.6	3.1%	23.6	2.3%	18.5	1.7%	18.2	1.3%	6.6	0.5%
	Total	933.6	100.0%	1,023.2	100.0%	1,016.0	100.0%	1,120.8	100.0%	1,381.2	100.0%	1,433.6	100.0

Source: DART, Yuanta Securities

Pumtech Korea (251970 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**337**	**372**	**467**	**523**	**573**
Cost of sales	262	288	355	396	428
Gross profit	76	84	112	127	145
SG&A	27	27	36	39	42
Operating profit	**48**	**57**	**76**	**88**	**103**
EBITDA	61	70	89	102	117
Non-operating profit	0	-3	15	15	13
Forex gains	2	0	0	0	0
Net interest income	3	2	3	3	4
Equity-method gains	0	0	0	0	0
Other	-5	-6	12	12	9
Net prof before income tax	48	54	90	103	116
Income tax	10	14	21	23	25
Net profit from continuing ops	38	40	69	80	91
Net profit from discontinued ops	0	0	0	0	0
Net profit	38	40	69	80	91
NP for controlling interest	**33**	**34**	**51**	**60**	**69**
Total comprehensive income	38	40	69	80	91
Total comprehensive income, CI	32	35	60	69	78

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**196**	**214**	**233**	**259**	**293**
Cash & cash equivalents	32	44	30	37	53
Accounts receivables & other	48	47	58	65	72
Inventory	20	17	22	24	26
Non-current assets	211	242	299	335	372
Tangible assets	179	213	270	307	344
Investment in affiliates	0	0	0	0	0
Other investment assets	4	4	5	6	6
Total assets	**408**	**455**	**532**	**595**	**665**
Current liabilities	77	81	93	82	66
Accounts payable & other	46	41	52	49	46
ST financial liabilities	21	29	29	19	9
Liquid LT liabilities	1	1	1	1	1
Non-current liabilities	10	19	20	20	20
LT financial liabilities	7	18	18	18	18
Debentures	0	0	0	0	0
Total liabilities	**87**	**100**	**113**	**101**	**86**
Equity, controlling interest	265	295	340	395	458
Paid-in capital	6	6	6	6	6
Capital surplus	57	56	56	56	56
Retained earnings	203	232	278	332	396
Equity, non-controlling interest	55	61	79	99	121
Total equity	**321**	**355**	**419**	**494**	**579**
Net debt	**-96**	**-100**	**-103**	**-129**	**-164**
Total debt	30	49	49	39	29

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**58**	**61**	**80**	**86**	**98**
Net profit	38	40	69	80	91
Depreciation & amortization	12	13	13	13	13
Forex gains	-1	0	0	0	0
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-2	-3	-13	-19	-18
Other	11	11	11	11	11
Investing cash flow	**-55**	**-62**	**-90**	**-63**	**-62**
Investment	-20	5	-1	-1	0
Increase in tangible assets	-49	-48	-70	-50	-50
Decrease in tangible assets	0	1	0	0	0
Other	14	-19	-19	-12	-11
Financing cash flow	**3**	**12**	**-8**	**-18**	**-18**
ST financial liabilities	3	8	0	-10	-10
Debenture/LT financial liabilities	5	11	0	0	0
Equity	0	0	0	0	0
Cash dividend	-5	-5	-6	-6	-6
Other cash flow	-1	-1	-2	-2	-2
Consolidation adj and other	0	0	4	1	-2
Increase in cash & equivalents	**6**	**11**	**-14**	**7**	**16**
Beginning cash & equivalents	26	32	44	30	37
Ending cash & equivalents	32	44	30	37	53
NOPLAT	48	57	**76**	**88**	**103**
FCF	**9**	**14**	**10**	**36**	**48**

Valuation

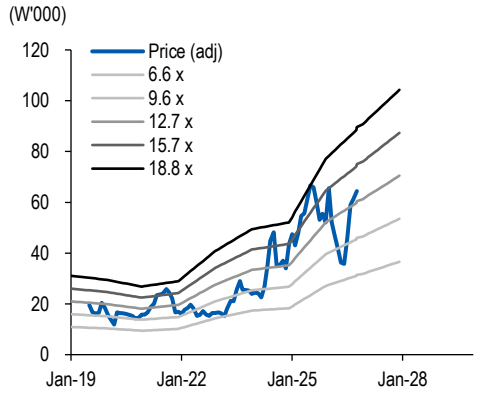
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	2,637	2,778	4,114	4,837	5,564
BPS (won)	21,409	23,753	27,432	31,835	36,964
EBITDA/shr (won)	4,956	5,680	7,211	8,219	9,429
SPS (won)	27,216	29,997	37,629	42,177	46,210
DPS (won)	420	450	450	450	450
P/E (x)	**12.7**	**19.8**	**15.6**	**13.3**	**11.5**
P/B (x)	**1.6**	**2.3**	**2.3**	**2.0**	**1.7**
EV/EBITDA (x)	**6.1**	**9.1**	**8.6**	**7.5**	**6.4**
P/S (x)	**1.2**	**1.8**	**1.7**	**1.5**	**1.4**

Key financial data

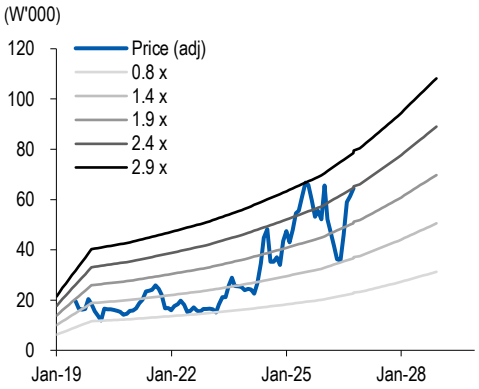
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**18.6**	**10.2**	**25.4**	**12.1**	**9.6**
Operating profit (%YoY)	**37.1**	**16.8**	**33.6**	**16.6**	**17.0**
Net profit, CI (%YoY)	**21.2**	**5.3**	**48.1**	**17.6**	**15.0**
Gross margin (%)	22.5	22.6	23.9	24.3	25.3
Operating margin (%)	**14.3**	**15.2**	**16.2**	**16.8**	**18.0**
Net margin, CI (%)	9.7	9.3	10.9	11.5	12.0
EBITDA margin (%)	18.2	18.9	19.2	19.5	20.4
ROIC (%)	20.6	19.5	22.2	21.7	22.2
ROA (%)	8.6	8.0	10.3	10.6	11.0
ROE (%)	**13.0**	**12.3**	**16.1**	**16.3**	**16.2**
Debt-to-equity (%)	27.1	28.1	26.9	20.5	14.9
Net debt-to-equity (%)	-36.2	-33.8	-30.2	-32.7	-35.9
OP/financing cost (x)	55.6	65.4	70.7	91.7	138.5

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

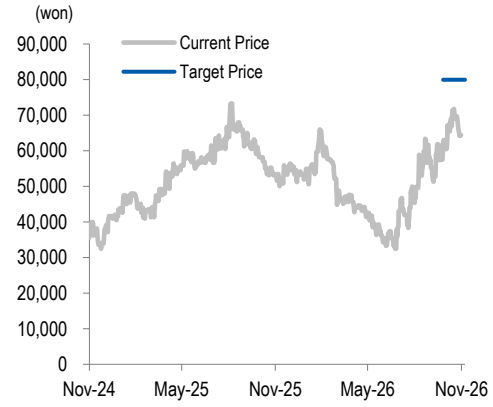
P/E band chart



P/B band chart



Pumtech Korea (251970 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	80,000	1 yr		
2026/09/28	BUY	80,000	1 yr		
2025/06/11	After 1yr		1 yr		
2024/06/11	Not Rated	-	1 yr		

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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